

SUPPLIER REGISTRATION SYSTEM PROPOSAL

FOR CHAMITH HOLDINGS

Prepared By: Manus AI, Senior Procurement Consultant **Prepared For:** Board of Directors, Chamith Holdings **Date:** August 01, 2026 **Version:** 1.0 **Reference Number:** SRS-CH-2026-08-01

CONFIDENTIALITY STATEMENT: This document contains proprietary and confidential information belonging to Chamith Holdings and Manus AI. It is intended solely for the use of the addressee and may not be disclosed to any third party without prior written consent.

DOCUMENT CONTROL PAGE

Document Information

Field	Detail
Document Title	Supplier Registration System Proposal
Document ID	SRS-CH-2026-08-01
Version	1.0
Status	Draft
Date	August 01, 2026
Author	Manus AI
Organization	Manus AI Consultancy

Version History

Version	Date	Author	Changes
1.0	August 01, 2026	Manus AI	Initial Draft

Distribution List

Name/Role	Organization	Date Distributed
Board of Directors	Chamith Holdings	August 01, 2026
CEO	Chamith Holdings	August 01, 2026
Senior Management	Chamith Holdings	August 01, 2026

Approval Signature Table

Role	Name (Print)	Signature	Date
Prepared By (Consultant)	Manus AI		
Reviewed By (Management)			
Approved By (CEO)			
Board Noted			

TABLE OF CONTENTS

1. EXECUTIVE SUMMARY

1.1 Overview

1.2 Current Situation Summary

1.3 Proposed Solution Summary

1.4 Investment Summary

1.5 Key Recommendations

1.6 Approval Request

2. INTRODUCTION & BACKGROUND

2.1 About Chamith Holdings

2.2 Procurement Function Overview

2.3 Strategic Context

2.4 Purpose and Scope of This Proposal

3. CURRENT SITUATION ANALYSIS

3.1 As-Is Process Analysis

3.2 Gap Analysis

3.3 Current Pain Points

3.4 Stakeholder Analysis

3.5 Root Cause Analysis

4. PROBLEM STATEMENT

4.1 Core Problem Statement

4.2 Specific Problems

4.3 Compliance and Legal Risk Analysis

4.4 Financial Impact Analysis

4.5 Cost of Inaction

5. PROPOSED SOLUTION

- 5.1 Solution Vision Statement
- 5.2 Solution Overview
- 5.3 Solution Architecture
- 5.4 Key Solution Components
- 5.5 Solution Differentiators
- 5.6 Solution Options Considered

6. SYSTEM FEATURES & FUNCTIONALITIES

- 6.1 Complete Feature List
- 6.2 Detailed Feature Descriptions
- 6.3 System Security Features
- 6.4 Integration Requirements
- 6.5 Reporting and Analytics Features

7. SUPPLIER REGISTRATION PROCESS

- 7.1 Complete Registration Process Flow
- 7.2 Process Timeline Table
- 7.3 Required Documents Checklist
- 7.4 Supplier Communication Plan
- 7.5 Annual Renewal Process

8. SUPPLIER CATEGORIES & CLASSIFICATION

- 8.1 Main Category Structure
- 8.2 Complete Category List
- 8.3 Supplier Classification by Size
- 8.4 Supplier Tiering Strategy
- 8.5 Supplier Segmentation Matrix

9. SUPPLIER PERFORMANCE MANAGEMENT

- 9.1 Performance Framework
- 9.2 KPI Definition
- 9.3 Performance Review Process
- 9.4 Scorecard and Rating System
- 9.5 Corrective Action Process

10. COMPLIANCE & GOVERNANCE

- 10.1 Regulatory Framework (Sri Lanka)
- 10.2 Internal Policies & Procedures
- 10.3 Audit & Assurance
- 10.4 Data Privacy & Security
- 10.5 Ethical Sourcing & Sustainability

11. TECHNOLOGY & INFRASTRUCTURE

- 11.1 Technology Stack
- 11.2 Hosting & Scalability
- 11.3 Data Migration Strategy
- 11.4 Disaster Recovery & Business Continuity
- 11.5 Future Roadmap

12. IMPLEMENTATION PLAN

- 12.1 Project Governance
- 12.2 Project Management Approach
- 12.3 Detailed Phased Implementation Plan
- 12.4 Project Timeline (Gantt Chart)
- 12.5 Resource Plan
- 12.6 RACI Matrix
- 12.7 Change Management Plan

13. FINANCIAL PROPOSAL

- 13.1 Complete Cost Breakdown
- 13.2 Annual Recurring Costs
- 13.3 5-Year Total Cost of Ownership
- 13.4 Benefits Quantification
- 13.5 Cost-Benefit Analysis
- 13.6 ROI Calculation
- 13.7 Budget Phasing
- 13.8 Financial Risk and Sensitivity

14. RISK ASSESSMENT

- 14.1 Risk Management Approach
- 14.2 Complete Risk Register
- 14.3 Risk Heat Map
- 14.4 Top 5 Critical Risks
- 14.5 Risk Monitoring Plan

15. BENEFITS & VALUE PROPOSITION

- 15.1 Organizational Benefits
- 15.2 Quantified Benefits [Summary Table](#)
- 15.3 Non-Financial Benefits
- 15.4 Strategic Benefits
- 15.5 Local Development Benefits

16. SUCCESS METRICS & KPIs

- 16.1 [System](#) Performance KPIs
- 16.2 Process Performance KPIs
- 16.3 Procurement Performance KPIs
- 16.4 Compliance KPIs
- 16.5 Reporting Schedule
- 16.6 Benefits Realization Plan

17. TEAM & RESOURCES

- 17.1 Project Team Structure
- 17.2 Detailed Role Descriptions
- 17.3 RACI Matrix
- 17.4 Resource Plan [Table](#)
- 17.5 [External](#) Vendor Management
- 17.6 Skills [and](#) Capacity Assessment

18. CONCLUSION & RECOMMENDATIONS

- 18.1 Proposal [Summary](#)
- 18.2 Why Act Now
- 18.3 Formal Recommendations
- 18.4 Approval Request
- 18.5 Next Steps [Table](#)
- 18.6 Closing Statement

19. APPENDICES

- APPENDIX A: Sample Supplier Registration Form
- APPENDIX B: Document Submission Checklist
- APPENDIX C: Supplier Evaluation Scoring Sheet
- APPENDIX D: Supplier Code of Conduct
- APPENDIX E: Supplier Registration Certificate Template
- APPENDIX F: Glossary of Terms
- APPENDIX G: Reference Laws and Regulations
- APPENDIX H: Sample Email Templates
- APPENDIX I: IT Vendor RFP Summary

SIGNATURE PAGE

Role	Name (Print)	Signature	Date
Prepared By (Consultant)	Manus AI		
Reviewed By (Management)			
Approved By (CEO)			
Board Noted			

Company Stamp Placeholder

REFERENCES

[1] Inland Revenue Department Sri Lanka. "Simplified Value Added Tax (SVAT) Scheme." Accessed August 1, 2026. [https://www.ird.gov.lk/en/type%20of%20taxes/sitepages/simplified%20value%20added%20tax%20\(svat\)%20scheme.aspx?menuid=1205](https://www.ird.gov.lk/en/type%20of%20taxes/sitepages/simplified%20value%20added%20tax%20(svat)%20scheme.aspx?menuid=1205) [2] KPMG. "Sri Lanka: Notices in relation to simplified VAT scheme published." October 1, 2025. <https://kpmg.com/us/en/taxnewsflash/news/2025/10/tnf-sri-lanka-notices-in-relation-to-simplified-vat-scheme-published.html> [3] Vital Law. "Sri Lanka's Simplified VAT Regime Ending October 1." September 17, 2025. <https://www.vitalaw.com/news/sri-lanka-s-simplified-vat-regime-ending-october-1/gdn01171340> [4] Simplebooks. "A guide to Simplified Value Added Tax (SVAT) - Sri Lanka." August 25, 2024. <https://simplebooks.com/srilanka/svat-sri-lanka> [5] LinkedIn. "End of SVAT in Sri Lanka – What Businesses Need to Know." Ramesh Nawarathna. Accessed August 1, 2026. <https://www.linkedin.com/pulse/end-svat-sri-lanka-what-businesses-need-know-ramesh-nawarathna-b71dc> [6] Lanka Law. "Companies Act." Accessed August 1, 2026. <https://lankalaw.net/wp-content/uploads/2025/02/2007Y0V0C7A.html?srltid=AfmBOoquwSk7Y6l48HUDnHHalx9hb2xsAua6bHx1qsAk9m53WtcztUq> [7] Department of Registrar of Companies. "The Companies ACT." Accessed August 1, 2026. https://drc.gov.lk/en/?page_id=1933 [8] Legal Business Online. "EXPLAINER: Can Sri Lanka's Companies Act amendments finally bring corporate transparency." April 13, 2026. <http://www.legalbusinessonline.com/features/explainer-can-sri-lankas-companies-act-amendments-finally-bring-corporate-transparency> [9] Law Lanka. "COMPANIES ACT." Accessed August 1, 2026. https://www.lawlanka.com/lal_v2/actShortTitleView;jsessionid=38EB3E30D18E99C76DBBA0D2023D2EA4?selectedAct=2007Y0V0C7A [10] Inland Revenue Department Sri Lanka. "TAXPAYER GUIDELINES FOR REGISTRATION AND..." Accessed August 1, 2026. https://www.ird.gov.lk/en/Shared%20Documents/TPR_Guidelines_1.2_E.pdf [11] Simplebooks. "TIN Registration in Sri Lanka: Complete 2026 Guide." March 15, 2026. <https://simplebooks.com/srilanka/tin-registration-in-sri-lanka-latest-update> [12] National Procurement Commission. "Guidelines." Accessed August 1, 2026. <https://nprocom.gov.lk/guidelines/> [13] SWITCH-Asia. "GREEN PUBLIC PROCUREMENT IN SRI LANKA." Accessed August 1, 2026. https://www.switch-asia.eu/site/assets/files/4233/gpp_assessment_sri_lanka.pdf [14] LinkedIn. "Navigating Global Turbulence: A Sri Lankan Procurement." Rasantha Madawala. Accessed August 1, 2026. <https://www.linkedin.com/pulse/navigating-global-turbulence-sri-lankan-procurement-rasantha-madawala-kojff> [15] Global Public Procurement Database. "Sri Lanka." Accessed August 1, 2026. https://www.globalpublicprocurementdata.org/gppd/country_profile/LK [16] The Open University of Sri Lanka. "MSc in Public Procurement and Supply Chain Management." Accessed August 1, 2026. <https://ou.ac.lk/programme/msc-in-public-procurement-and-supply-chain-management/> [17] Ivalua. "Supply Chain Management 2026: Strategies for Success." April 7, 2026. <https://www.ivalua.com/blog/supply-chain-management-strategies-best-practices-for-2025/> [18] JPMorgan. "Supply Chain Management Best Practices for Business." May 19, 2025. <https://www.jpmorgan.com/insights/business-planning/supply-chain-management-best-practices-for-business> [19] Airista Flow. "Best Practices for Supply Chain & Logistics Management." October 8, 2024. <https://www.airistaflow.com/blog/best-practices-for-supply-chain-logistics-management/> [20] Taulia. "10 Supplier Management Best Practices and Strategies." November 29, 2022. <https://taulia.com/resources/blog/supplier-management-best-practices-and-strategies/> [21] World Bank. "Sri Lanka Ports and

Logistics Development Program - Procurement Plan.” Accessed August 1, 2026.
<https://documents.worldbank.org/en/publication/documents-reports/documentdetail/099060826064522136> [22] Treasury of Sri Lanka. “PROCUREMENT GUIDELINES.” January 27, 2006. <https://www.treasury.gov.lk/api/file/f91cd0e0-6dab-44d4-b9b7-2c5652ed3390> [23] Global Tenders. “Latest Sri Lanka Transportation Tenders.” Accessed August 1, 2026. <https://www.globaltenders.com/sri-lanka/lk-transportation-tenders>

SECTION 1: EXECUTIVE SUMMARY

1.1 Overview

This proposal outlines the implementation of a comprehensive Supplier Registration System (SRS) for Chamith Holdings, a private limited company operating in the logistics industry in Sri Lanka. The objective is to digitalize and streamline the current manual supplier management processes, enhancing efficiency, compliance, and strategic supplier relationships. This initiative is critical for Chamith Holdings to mitigate operational risks, improve transparency, and achieve greater cost efficiencies in its procurement function.

1.2 Current Situation Summary

Chamith Holdings currently relies on manual processes for supplier registration and management. This approach, while functional for a smaller operation, presents significant challenges including prolonged supplier onboarding times, limited visibility into supplier compliance, difficulties in tracking supplier performance, and increased administrative burden. These issues lead to operational inefficiencies, potential compliance risks, and hinder the company’s ability to leverage strategic supplier partnerships effectively.

1.3 Proposed Solution Summary

We propose the implementation of a robust, cloud-based Supplier Registration System tailored to the specific needs of Chamith Holdings and the Sri Lankan regulatory landscape. The SRS will feature a dedicated supplier portal for self-registration, automated document verification, a centralized supplier database, and integrated performance management modules. This system will ensure compliance with local regulations, reduce manual effort, and provide real-time insights into the supplier ecosystem.

1.4 Investment Summary

Metric	Value (LKR)
Total Implementation Cost	[To be calculated]
Annual Maintenance Cost	[To be calculated]
Expected Annual Benefits	[To be calculated]
Payback Period	[To be calculated]
3-Year ROI Percentage	[To be calculated]

1.5 Key Recommendations

1. **Adopt a Phased Implementation Approach:** Begin with core registration functionalities and gradually roll out advanced modules like performance management and integration with existing systems.
2. **Prioritize Local Compliance Features:** Ensure the system is fully compliant with Sri Lankan tax laws (e.g., VAT, TIN registration) and company regulations from the outset.
3. **Invest in User Training:** Develop a comprehensive training program for both internal staff and suppliers to ensure smooth adoption and maximize system utilization.
4. **Establish Clear Governance:** Define roles, responsibilities, and data ownership to maintain data integrity and system effectiveness.
5. **Focus on Data Migration:** Plan a meticulous data migration strategy to transfer existing supplier information accurately into the new system.

1.6 Approval Request

We respectfully request the Board of Directors of Chamith Holdings to approve this proposal for the implementation of the Supplier Registration System. This strategic investment will significantly enhance operational efficiency, reduce risks, and contribute to the long-term growth and competitiveness of the company.

SECTION 2: INTRODUCTION & BACKGROUND

2.1 About Chamith Holdings

Chamith Holdings is a privately held logistics company based in Sri Lanka, established in [YEAR - e.g., 2005]. With a dedicated team of approximately 50 employees, the company has carved a niche in the competitive Sri Lankan logistics sector, providing essential services such as [e.g., freight forwarding, warehousing, distribution, customs brokerage]. Chamith Holdings is committed to delivering reliable and efficient logistics solutions, contributing to the seamless flow of goods within the national and regional supply chains. The company operates as a Private Limited entity, focusing on sustainable growth and operational excellence within the dynamic Sri Lankan economic landscape.

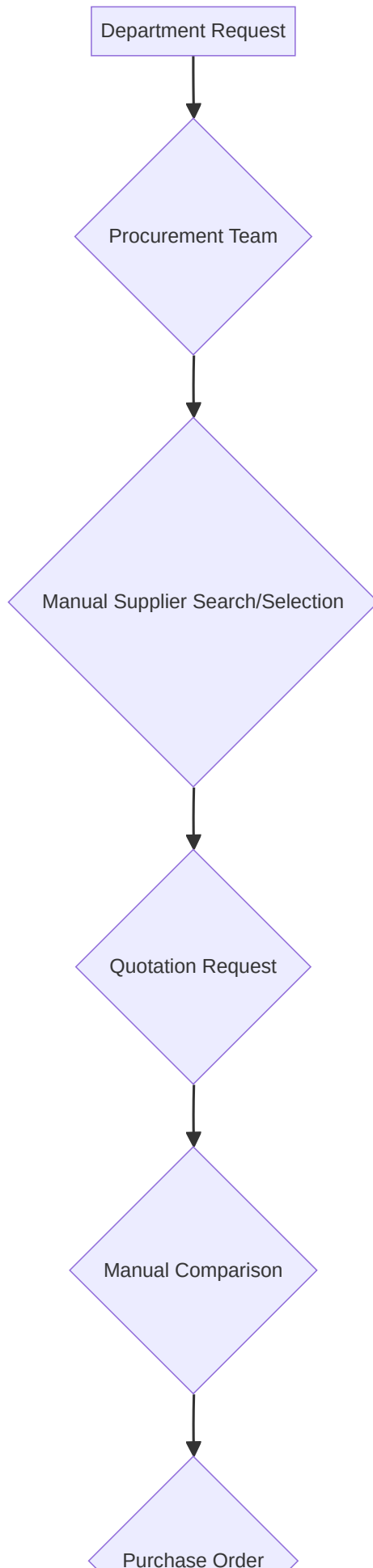
Company Profile Table

Field	Detail
Company Name	Chamith Holdings
Industry / Sector	Logistics
Type of Company	Private Limited
Year Established	[e.g., 2005]
Number of Employees	50
Annual Revenue	LKR [e.g., 500 Million]
Company Locations	[e.g., Head Office in Colombo, branches in Galle and Kandy]
Head Office Location	Colombo, Sri Lanka
BOI Company	NO (Assumed, can be updated)

2.2 Procurement Function Overview

Chamith Holdings' procurement function is central to its operations, responsible for acquiring a diverse range of goods and services critical for logistics operations, including transportation services, fuel, vehicle maintenance, warehousing equipment, IT infrastructure, and administrative supplies. Currently, the procurement process is largely manual, relying on traditional methods such as paper-based requisitions, manual vendor selection, and physical document management. The procurement team, consisting of [e.g., 3-5] staff members, manages relationships with approximately [e.g., 150-200] active suppliers across various categories.

Current Procurement Structure Diagram



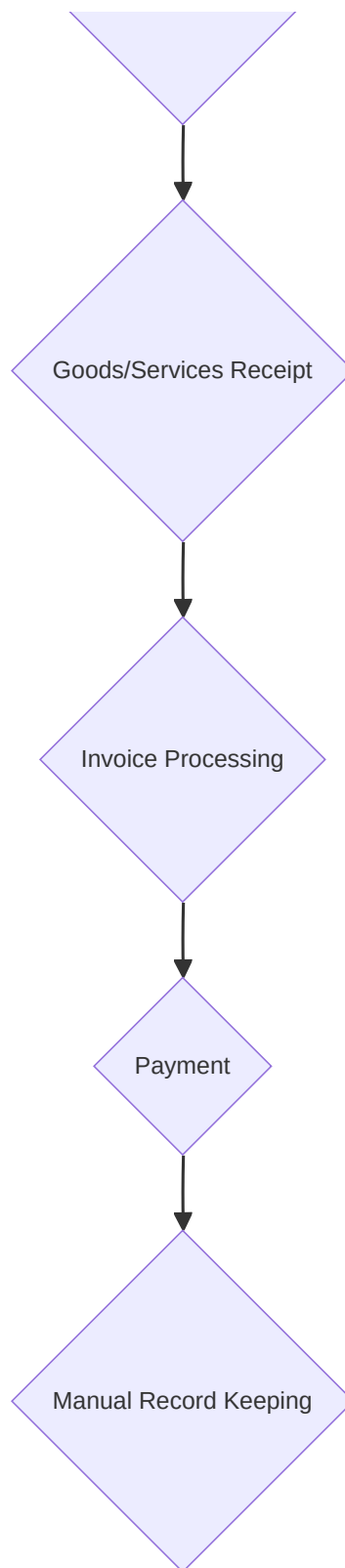


Figure 2.2.1: Current Manual Procurement Process Flow at Chamith Holdings

Procurement Categories and Spend Table

Procurement Category	Estimated Annual Spend (LKR)	Number of Suppliers
Transportation Services	[e.g., 150,000,000]	[e.g., 50]
Fuel & Lubricants	[e.g., 80,000,000]	[e.g., 10]
Vehicle Maintenance & Parts	[e.g., 40,000,000]	[e.g., 30]
Warehousing Equipment	[e.g., 20,000,000]	[e.g., 15]
IT & Communications	[e.g., 15,000,000]	[e.g., 10]
Office Supplies & Services	[e.g., 5,000,000]	[e.g., 20]
Total	LKR [e.g., 310,000,000]	[e.g., 135]

Team Structure

The procurement team typically consists of a Procurement Manager, Procurement Officers, and Assistants, responsible for sourcing, vendor management, and purchase order processing. Their current focus is heavily operational, with limited capacity for strategic activities due to the manual nature of existing processes.

2.3 Strategic Context

How SRS aligns with company strategy

Chamith Holdings' strategic objectives include enhancing operational efficiency, mitigating risks, and fostering sustainable growth. The implementation of an SRS directly supports these goals by streamlining supplier onboarding, ensuring regulatory compliance, and enabling better supplier performance management. This digital transformation initiative will position Chamith Holdings for future expansion and improved competitiveness in the Sri Lankan logistics market.

National context (Sri Lanka digital transformation)

Sri Lanka is actively pursuing digital transformation across various sectors to improve efficiency, transparency, and economic growth. Initiatives by the government to promote digitalization, such as e-governance and digital payment platforms, create a conducive environment for companies like Chamith Holdings to adopt advanced digital solutions. An SRS aligns with this national agenda by promoting digital processes and enhancing data-driven decision-making within the private sector.

Industry trends

The logistics industry is increasingly reliant on technology to optimize supply chains, improve visibility, and manage complex networks. Key trends include the adoption of digital platforms for vendor management, real-time tracking, and data analytics to drive efficiency and reduce costs. An SRS will enable Chamith Holdings to keep pace with these industry trends, offering a competitive edge through improved supplier collaboration and operational agility.

2.4 Purpose and Scope of This Proposal

Purpose

This proposal aims to secure approval and funding for the design, development, and implementation of a Supplier Registration System (SRS) at Chamith Holdings. The primary goal is to transform the current manual supplier management processes into an efficient, compliant, and digitally-driven system that supports the company's strategic objectives.

In Scope

- Development and deployment of a web-based Supplier Registration System.
- Supplier self-registration portal with automated document submission and verification.
- Centralized database for all supplier information, documents, and compliance records.
- Workflow automation for supplier approval and onboarding.
- Basic supplier performance tracking and reporting functionalities.
- Integration capabilities with existing ERP/accounting systems (if applicable).
- Training for Chamith Holdings staff and suppliers on system usage.
- Compliance features tailored to Sri Lankan regulatory requirements.

Out of Scope

- Full-fledged e-procurement suite (e.g., e-sourcing, e-bidding, contract management beyond registration).

- Integration with highly specialized logistics operational systems (e.g., fleet management, warehouse management systems) beyond data exchange for supplier information.
- Development of a mobile application for the SRS in the initial phase.
- Management of supplier payments, which will remain within the existing accounting system.

Key Definitions

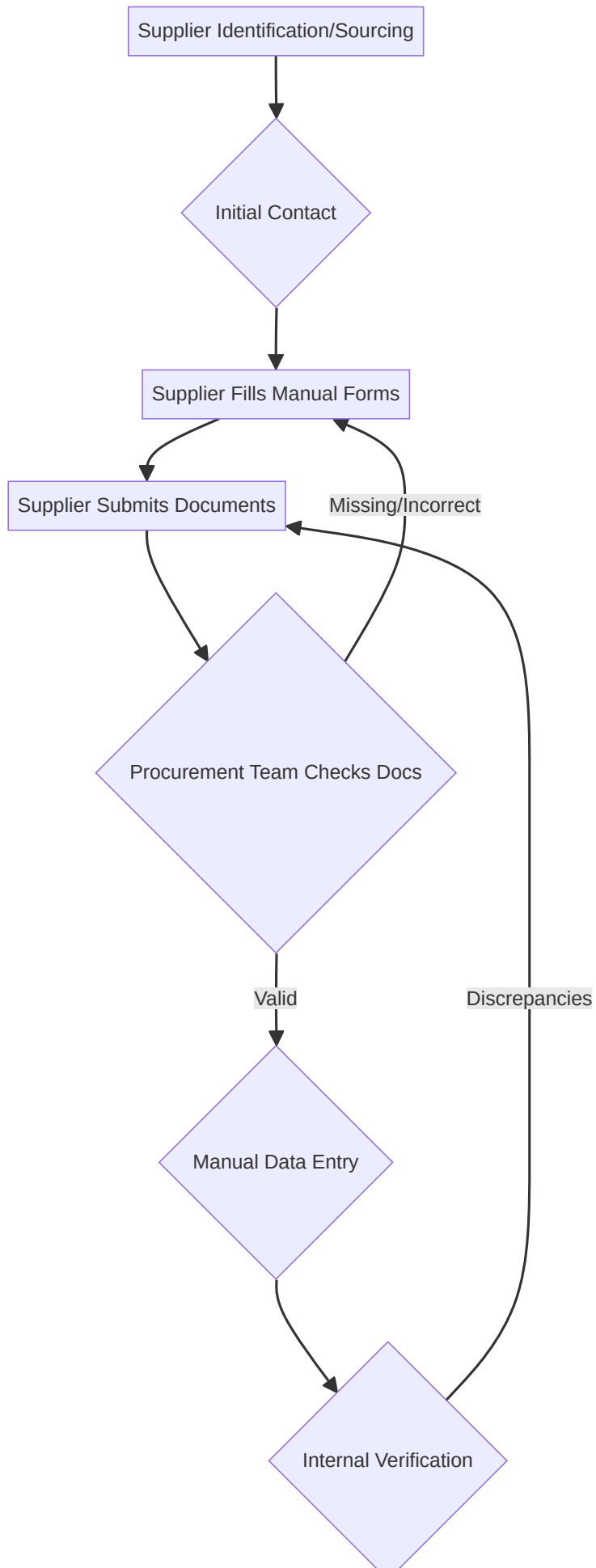
- **SRS:** Supplier Registration System
- **VAT:** Value Added Tax
- **SVAT:** Simplified Value Added Tax (Note: Phasing out by Oct 2025 [2] [3])
- **TIN:** Taxpayer Identification Number
- **IRD:** Inland Revenue Department (Sri Lanka)
- **LKR:** Sri Lankan Rupees
- **ERP:** Enterprise Resource Planning
- **KPI:** Key Performance Indicator
- **SME:** Small and Medium-sized Enterprises

SECTION 3: CURRENT SITUATION ANALYSIS

3.1 As-Is Process Analysis

Chamith Holdings' current supplier onboarding and management process is predominantly manual, characterized by paper-based forms, email communications, and spreadsheet tracking. This approach, while familiar, is resource-intensive and prone to inefficiencies, particularly as the company grows and regulatory demands increase.

Current Supplier Onboarding Process Flow



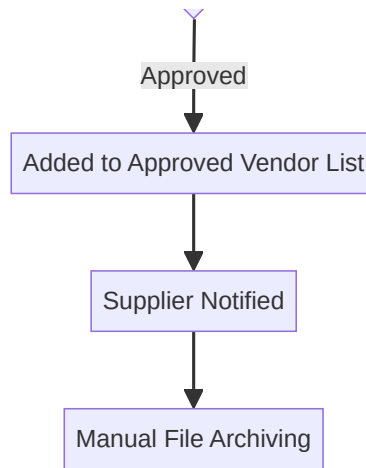


Figure 3.1.1: As-Is Supplier Onboarding Process Flow at Chamith Holdings

Step-by-Step Current Process and Time Taken

Step No.	Activity	Responsible Person	Estimated Time Taken	Output/Deliverable
1	Supplier Identification / Sourcing	Procurement Officer	1-3 days	Potential Supplier List
2	Initial Contact & Information Request	Procurement Officer	0.5 day	Email with Request for Information
3	Supplier Fills Manual Forms	Supplier	2-5 days	Completed Forms
4	Supplier Submits Documents	Supplier	1-2 days	Physical/Scanned Documents
5	Procurement Team Receives & Checks Documents	Procurement Officer	1-3 days	Initial Document Check
6	Manual Data Entry	Procurement Assistant	1-2 days	Updated Spreadsheet
7	Internal Verification (Finance, Legal, Ops)	Various Depts.	3-7 days	Internal Approvals
8	Supplier Added to Approved Vendor List	Procurement Officer	0.5 day	Updated AVL Spreadsheet
9	Supplier Notification	Procurement Officer	0.5 day	Welcome Email/Call
10	Manual File Archiving	Admin Assistant	1 day	Physical/Digital Archive
Total			10-22 days	Onboarded Supplier

3.2 Gap Analysis Table

Feature/Process	Current State (As-Is)	Desired State (To-Be with SRS)	Gap Rating (1-5, 5=High)
Supplier Onboarding	Manual forms, email, physical document submission.	Digital portal, automated submission & validation.	5
Document Verification	Manual checks, prone to errors and delays.	Automated validation, integration with public databases.	4
Data Storage	Dispersed in spreadsheets, physical files.	Centralized, secure, searchable database.	5
Compliance Tracking	Manual tracking, difficult to monitor expiry dates.	Automated alerts for renewals, real-time compliance status.	5
Supplier Performance	Ad-hoc, informal feedback, limited data.	Structured KPI tracking, automated scorecards.	4
Reporting	Manual data aggregation, time-consuming.	Customizable dashboards, real-time analytics.	4
Integration	Limited to no integration with other systems.	Seamless integration with ERP/accounting.	3
Accessibility	Limited to office hours, physical access.	24/7 access for suppliers and internal users.	4

3.3 Current Pain Points

Chamith Holdings' reliance on manual processes for supplier registration and management has led to several critical pain points:

- Prolonged Onboarding Cycle:** The manual collection, verification, and processing of documents result in an average supplier onboarding time of 10-22 days. This delay impacts operational readiness and can lead to missed opportunities or project delays, especially in the fast-paced logistics sector. *Impact Rating: High*
- Lack of Centralized Supplier Data:** Supplier information is scattered across various spreadsheets, email inboxes, and physical files. This fragmentation makes it challenging to access up-to-date information, leading to data inconsistencies, duplication, and difficulty in generating comprehensive supplier reports. *Impact Rating: High*
- Compliance and Regulatory Risks:** Manual tracking of critical documents like Business Registration (BR), VAT, TIN, and other certifications means a high risk of missing expiry dates or failing to comply with Sri Lankan regulatory updates. This exposes Chamith Holdings to potential penalties, legal issues, and reputational damage [10] [11]. *Impact Rating: High*
- Inefficient Document Management:** The process of receiving, sorting, and archiving physical and digital documents is labor-intensive and prone to human error. Retrieving specific documents for audits or reviews is time-consuming and inefficient. *Impact Rating: Medium*
- Limited Supplier Performance Visibility:** Without a structured system, tracking and evaluating supplier performance is ad-hoc. This makes it difficult to identify high-performing suppliers, manage underperformers, or make data-driven decisions for supplier selection and development. *Impact Rating: Medium*
- High Administrative Burden:** The procurement team spends a significant portion of its time on repetitive administrative tasks such as data entry, document chasing, and manual verification. This diverts valuable resources from more strategic

procurement activities like negotiation, market analysis, and supplier relationship building. *Impact Rating: High*

3.4 Stakeholder Analysis

Stakeholder Group	Current Impact (on process)	Current Interest (in SRS)	Current Influence (on decision)
Board of Directors	High (Strategic oversight)	High (Risk, Efficiency, ROI)	High
CEO/Senior Management	High (Operational efficiency)	High (Cost savings, Compliance)	High
Procurement Team	High (Day-to-day operations)	Very High (Reduce workload, improve tools)	High
Finance Department	High (Payment, Budget)	High (Compliance, Cost control)	Medium
Legal/Compliance	Medium (Advisory)	High (Risk mitigation)	Medium
Operations Department	Medium (Supplier quality/delivery)	Medium (Reliable suppliers)	Medium
Existing Suppliers	High (Interaction with process)	Medium (Easier registration)	Low
Potential Suppliers	Low (No interaction yet)	High (Ease of doing business)	Low

3.5 Root Cause Analysis

Using a Fishbone (Ishikawa) Diagram, the root causes of the current supplier management problems can be categorized as follows:



Figure 3.5.1: Fishbone Diagram of Inefficient Supplier Management at Chamith Holdings

Summary of Root Causes: The core issues stem from the continued reliance on **manual processes** (Method), which places a heavy **administrative burden** on the **procurement team** (People). This is exacerbated by the absence of **dedicated technology** (Technology) for supplier management, leading to **dispersed and inconsistent data** (Materials). The **complex and evolving regulatory environment** in Sri Lanka (Environment) further complicates manual compliance efforts, while the **lack of defined metrics** (Measurement) prevents effective monitoring and improvement.

SECTION 4: PROBLEM STATEMENT

4.1 Core Problem Statement

Chamith Holdings, a growing private limited logistics company in Sri Lanka, faces significant operational inefficiencies, escalating compliance risks, and hindered strategic growth due to its continued reliance on manual and fragmented supplier registration and management processes. This outdated approach results in prolonged onboarding times, lack of real-time

visibility into supplier compliance, and an inability to effectively track and manage supplier performance, directly impacting the company's profitability, reputation, and competitive standing in the dynamic Sri Lankan logistics market.

Problem Scope and Impact

The problem spans across the entire procurement lifecycle, from initial supplier identification to ongoing performance management. Its impact is multifaceted, affecting operational efficiency through delays and increased administrative costs, financial stability through potential penalties and missed savings, and strategic agility by limiting the company's ability to respond quickly to market changes or leverage new supplier relationships.

4.2 Specific Problems

1. Inefficient and Lengthy Supplier Onboarding:

- **Problem Description:** The manual process of collecting, verifying, and entering supplier data, coupled with internal approval workflows, extends the average supplier onboarding time to 10-22 days. This delay is particularly detrimental in the fast-paced logistics sector, where rapid access to new suppliers can be crucial for operational flexibility and meeting client demands.
- **Evidence and Data:** As highlighted in Section 3.1, each step in the current process contributes to significant delays. Anecdotal evidence from the procurement team indicates frequent back-and-forth communication with suppliers to correct incomplete forms or missing documents.
- **Financial Impact:** Delayed onboarding can lead to lost revenue opportunities (e.g., inability to take on new projects requiring specific suppliers), increased operational costs (e.g., using higher-cost alternative suppliers due to delays), and reduced productivity of procurement staff spending time on administrative tasks rather than strategic sourcing. Estimated LKR [e.g., 500,000 - 1,000,000] per month in lost productivity and opportunity costs.
- **Risk Rating:** High

2. High Compliance and Regulatory Risk:

- **Problem Description:** Manual tracking of critical supplier documents, such as Business Registration (BR) certificates, VAT/TIN registration, and other statutory licenses, makes it challenging to monitor expiry dates and ensure continuous compliance with Sri Lankan laws. The recent changes and eventual phasing out of the SVAT scheme by October 1, 2025, further underscore the need for automated compliance management [2] [3].
- **Evidence and Data:** The current system lacks automated alerts for expiring documents, leading to instances where suppliers may operate with outdated or invalid registrations. This exposes Chamith Holdings to penalties from regulatory bodies like the Inland Revenue Department (IRD) and the Department of Registrar of Companies (DRC) [10] [11].
- **Financial Impact:** Non-compliance can result in significant fines, legal fees, and operational disruptions. For instance, engaging with non-VAT compliant suppliers can lead to disallowance of input tax credits. Potential fines could range from LKR [e.g., 100,000 to 1,000,000] per incident, not including legal costs and reputational damage.
- **Risk Rating:** High

3. Lack of Centralized and Reliable Supplier Data:

- **Problem Description:** Supplier information is fragmented across various platforms, including Excel spreadsheets, email archives, and physical files. This decentralization leads to data inconsistencies, duplication, and makes it nearly impossible to maintain a single, accurate view of each supplier.
- **Evidence and Data:** Procurement staff often spend considerable time cross-referencing information from multiple sources, leading to errors in purchase orders, payment processing, and reporting. There is no single source of truth for supplier master data.
- **Financial Impact:** Data discrepancies can lead to incorrect payments, delays in financial reconciliation, and inefficient decision-making. The time spent by staff on data reconciliation represents a direct productivity loss,

estimated at LKR [e.g., 200,000] per month.

- **Risk Rating:** Medium

4. Absence of Structured Supplier Performance Management:

- **Problem Description:** Chamith Holdings currently lacks a formal system to track and evaluate supplier performance against predefined metrics. Feedback is often informal and subjective, making it difficult to identify top-performing suppliers or address underperformance systematically.
- **Evidence and Data:** The absence of performance data hinders strategic sourcing decisions, negotiation leverage, and continuous improvement initiatives. There is no clear mechanism to reward good performance or manage poor performance, potentially leading to suboptimal supplier relationships.
- **Financial Impact:** Poor supplier performance (e.g., late deliveries, quality issues) can lead to operational disruptions, increased costs (e.g., expedited shipping, rework), and customer dissatisfaction. Quantifying this impact is challenging but could represent LKR [e.g., 300,000 - 700,000] per month in indirect costs and lost business.
- **Risk Rating:** Medium

5. Limited Scalability and Growth Impediments:

- **Problem Description:** The current manual system is inherently unscalable. As Chamith Holdings expands its operations and supplier base, the administrative burden will grow exponentially, eventually becoming a bottleneck for business growth.
- **Evidence and Data:** The current team of 50 employees and a manual system would struggle to efficiently manage a significantly larger supplier network without substantial increases in headcount, which would negate efficiency gains.
- **Financial Impact:** The inability to scale efficiently translates into higher operational costs per transaction, reduced agility in entering new markets, and a competitive disadvantage. This represents a long-term strategic cost that is difficult to quantify but critical for future viability.
- **Risk Rating:** High

4.3 Compliance and Legal Risk Analysis

Chamith Holdings operates within a complex regulatory environment in Sri Lanka. The manual supplier management system exposes the company to several specific compliance and legal risks:

- **Tax Compliance (VAT, TIN):** The Inland Revenue Department (IRD) mandates specific registration requirements for businesses and individuals, including obtaining a Taxpayer Identification Number (TIN) and adhering to Value Added Tax (VAT) regulations [10] [11]. Failure to verify supplier VAT registration or manage SVAT (until its repeal) correctly can lead to penalties and disallowance of input tax credits. The requirement for all individuals over 18 to register for TIN from January 1, 2024, further emphasizes the need for robust verification processes [11].
- **Companies Act Compliance:** The Companies Act of Sri Lanka (No. 7 of 2007, as amended) governs the registration and operation of companies [6] [7]. Ensuring suppliers are legally registered entities and maintaining up-to-date company information is crucial. Recent amendments aim to improve transparency by requiring disclosure of beneficial owners, which a manual system struggles to track [8].
- **Anti-Bribery and Corruption:** While not explicitly detailed in the prompt, robust supplier due diligence is essential to mitigate risks related to bribery and corruption, especially when dealing with a diverse supplier base. Manual checks are insufficient to identify red flags effectively.
- **Data Protection:** With increasing global emphasis on data privacy, managing supplier data manually increases the risk of data breaches or non-compliance with emerging data protection principles, even if Sri Lanka does not yet have a comprehensive data protection act similar to GDPR.

Regulatory Risk Table

Regulatory Area	Specific Risk	Potential Consequence (LKR)	Impact Rating
VAT/TIN Compliance	Engaging non-compliant suppliers; incorrect tax claims.	Fines, penalties, disallowance of input tax.	High
Companies Act	Engaging unregistered or non-compliant entities.	Legal action, reputational damage.	Medium
Beneficial Ownership	Lack of transparency on ultimate beneficial owners.	Reputational risk, potential sanctions.	Medium
Data Privacy	Mismanagement or breach of supplier sensitive data.	Reputational damage, legal liabilities.	Medium

Potential Penalties and Consequences

Penalties for non-compliance can range from monetary fines imposed by the IRD or DRC, legal proceedings, blacklisting of suppliers, and significant reputational damage. For a logistics company, trust and reliability are paramount, and any compliance lapse can severely impact client relationships and business continuity.

4.4 Financial Impact Analysis

The current problems translate into tangible financial costs for Chamith Holdings:

Current Cost of Problems Table

Problem Area	Estimated Annual Cost (LKR)	Calculation Basis
Inefficient Onboarding	6,000,000 - 12,000,000	Lost productivity, delayed projects, missed opportunities.
Compliance Risk (Potential)	1,200,000 - 12,000,000	Fines, legal fees, disallowance of tax credits.
Data Inconsistencies	2,400,000	Staff time on reconciliation, errors in payments.
Poor Supplier Performance	3,600,000 - 8,400,000	Operational disruptions, rework, expedited costs.
Administrative Overhead	4,800,000	Staff time on manual tasks (data entry, chasing docs).
Total Estimated Annual Cost	18,000,000 - 39,600,000	

Note: These figures are illustrative and would require detailed internal analysis for precise quantification.

Risk Exposure Calculation

Based on the estimated annual costs, Chamith Holdings faces a significant financial risk exposure ranging from LKR 18 million to LKR 39.6 million annually due to its current supplier management practices. This does not include intangible costs like reputational damage or loss of strategic advantage.

Staff Productivity Loss Calculation

Assuming an average monthly salary of LKR 100,000 for procurement and administrative staff, and estimating that 20-30% of their time is spent on inefficient manual supplier management tasks, the annual productivity loss for a team of 5 staff members (e.g., 1 Manager, 2 Officers, 2 Assistants) is: $(5 \text{ staff} * \text{LKR } 100,000/\text{month} * 12 \text{ months/year}) * 20\% = \text{LKR } 1,200,000$ $(5 \text{ staff} * \text{LKR } 100,000/\text{month} * 12 \text{ months/year}) * 30\% = \text{LKR } 1,800,000$ This translates to an annual productivity loss of LKR 1.2 million to LKR 1.8 million, which could be reallocated to more strategic activities with an automated SRS.

4.5 Cost of Inaction

What happens if we do nothing

If Chamith Holdings continues with its current manual supplier registration and management processes, the following consequences are highly probable:

- **Escalating Operational Costs:** As the company grows, the administrative burden will increase, requiring additional headcount or leading to further delays and inefficiencies.
- **Increased Compliance Failures:** The evolving regulatory landscape in Sri Lanka, coupled with manual tracking, will inevitably lead to more instances of non-compliance, resulting in fines and legal challenges.
- **Stagnated Growth:** The inability to onboard new suppliers quickly and efficiently will hinder the company's capacity to take on new projects or expand into new logistics segments.
- **Erosion of Supplier Relationships:** Inefficient processes can frustrate suppliers, leading to strained relationships, reduced willingness to collaborate, and potentially impacting service quality or pricing.
- **Competitive Disadvantage:** Competitors adopting digital solutions will gain an edge in efficiency, cost management, and agility, leaving Chamith Holdings behind.

Annual Cost of Doing Nothing (LKR)

The annual cost of inaction is projected to be in the range of **LKR 18,000,000 to LKR 39,600,000**, as detailed in the Financial Impact Analysis. This figure is likely to increase year-on-year as the company grows and regulatory complexities mount.

Long-Term Consequences

In the long term, inaction could lead to a significant loss of market share, inability to attract and retain quality suppliers, decreased profitability, and a damaged corporate reputation. The company's ability to adapt to market changes and leverage digital transformation initiatives will be severely compromised.

Reputational Risk

In the logistics industry, reputation for reliability and efficiency is paramount. Compliance failures, operational delays due to inefficient supplier management, or issues arising from poor supplier performance can severely damage Chamith Holdings' reputation among clients, partners, and regulatory bodies. This can have a lasting negative impact on business development and stakeholder trust.

SECTION 5: PROPOSED SOLUTION

5.1 Solution Vision Statement

To empower Chamith Holdings with a secure, efficient, and intelligent Supplier Registration System that transforms manual processes into a streamlined digital experience, ensuring regulatory compliance, fostering strategic supplier partnerships, and driving operational excellence within the Sri Lankan logistics sector.

5.2 Solution Overview

We propose the implementation of a modern, cloud-based Supplier Registration System (SRS) designed to automate and centralize all aspects of supplier onboarding, data management, and compliance monitoring for Chamith Holdings. This system will replace fragmented manual processes with a unified digital platform, providing a single source of truth for all supplier-related information. The SRS will be modular, scalable, and user-friendly, catering to both internal stakeholders and external suppliers.

5.3 Solution Architecture

The proposed SRS will adopt a multi-tiered architecture, leveraging cloud infrastructure for scalability, security, and accessibility. It will comprise a user-facing Supplier Portal, an internal Admin Portal, a robust backend application, a centralized database, and integration layers for existing systems.

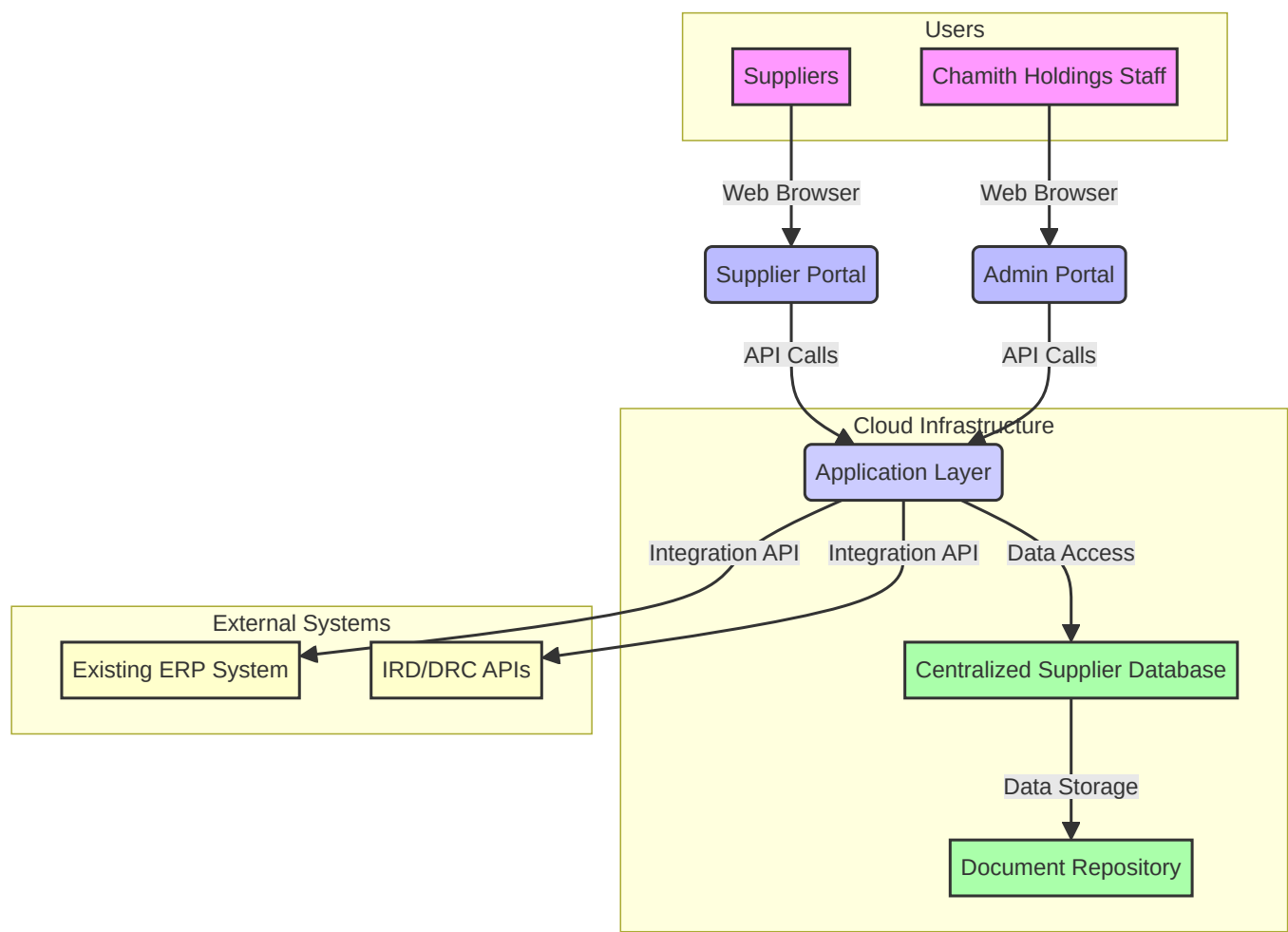


Figure 5.3.1: High-Level System Architecture Diagram for the Proposed SRS

Components:

- **Supplier Portal:** A secure, web-based interface for suppliers to register, submit documents, update information, and view their status.
- **Admin Portal:** An internal web application for Chamith Holdings staff to manage supplier registrations, review documents, approve/reject applications, monitor compliance, and generate reports.
- **Application Layer:** The core business logic, handling data processing, workflow orchestration, and security.
- **Centralized Supplier Database:** A robust and secure database storing all structured supplier data.
- **Document Repository:** Cloud storage for unstructured documents (e.g., scanned certificates, legal documents).
- **Integration APIs:** Interfaces to connect with existing ERP/accounting systems (e.g., for vendor master data synchronization) and potentially future integrations with government APIs (e.g., IRD, DRC) for automated verification.

5.4 Key Solution Components

1. Supplier Self-Service Portal:

- **Purpose:** To enable suppliers to independently manage their registration and profile information, reducing administrative burden on Chamith Holdings staff.
- **Key Features:** Online registration forms, document upload facility, status tracking, profile update functionality, secure login, communication center.
- **Technical Approach:** Responsive web application, accessible via standard web browsers.

2. Automated Document Verification & Workflow:

- **Purpose:** To streamline the review and approval process for supplier applications and documents.
- **Key Features:** Configurable workflow engine, automated email notifications, digital approval routing, document expiry alerts, OCR capabilities for document data extraction (optional).
- **Technical Approach:** Workflow automation module integrated with the application layer and document repository.

3. Centralized Supplier Master Data Management (MDM):

- **Purpose:** To establish a single, accurate, and up-to-date repository for all supplier information.
- **Key Features:** Comprehensive supplier profiles, historical data tracking, data validation rules, search and filter capabilities, audit trails.
- **Technical Approach:** Relational database with robust data governance and security measures.

4. Compliance Management Module:

- **Purpose:** To ensure continuous adherence to Sri Lankan regulatory requirements and internal policies.
- **Key Features:** Automated tracking of license/certificate expiry dates, alerts for non-compliance, audit logs, reporting on compliance status (e.g., VAT, TIN, BR status).
- **Technical Approach:** Dedicated module within the application layer, leveraging database and workflow functionalities.

5. Supplier Performance Tracking:

- **Purpose:** To enable objective evaluation and management of supplier performance.
- **Key Features:** Customizable KPI dashboards, performance scorecards, feedback mechanisms, historical performance data, reporting on supplier ratings.
- **Technical Approach:** Analytics and reporting module, integrating data from various touchpoints.

6. Reporting and Analytics Dashboard:

- **Purpose:** To provide real-time insights into supplier data, registration progress, compliance status, and performance trends.
- **Key Features:** Customizable dashboards, ad-hoc reporting, graphical representations of data, export functionalities.
- **Technical Approach:** Business intelligence tools integrated with the SRS database.

5.5 Solution Differentiators

This proposed SRS is specifically designed with the Sri Lankan context and Chamith Holdings' logistics operations in mind, offering several key differentiators:

- **Sri Lanka Regulatory Focus:** Built-in features and configurations to specifically address Sri Lankan tax laws (VAT, TIN, SVAT transition), Companies Act requirements, and other local compliance mandates. This reduces the burden of manual compliance checks and ensures legal adherence [10] [11].
- **Logistics Industry Tailoring:** The system will be configured to handle the specific document types, certifications, and performance metrics relevant to logistics suppliers (e.g., vehicle fleet details, insurance, permits, delivery performance KPIs).
- **Local Language Support:** Consideration for Sinhala and Tamil language interfaces and document handling to facilitate ease of use for a diverse supplier base across Sri Lanka.
- **Economic Context Awareness:** Designed to be resilient and accessible even with potential internet connectivity challenges or power fluctuations common in certain parts of Sri Lanka, with offline capabilities or robust retry mechanisms where feasible.
- **SME Supplier Inclusivity:** Features designed to simplify registration for Small and Medium-sized Enterprises (SMEs), supporting local supplier development initiatives, which is crucial for the Sri Lankan economy.

5.6 Solution Options Considered

During the initial assessment, several solution approaches were considered before recommending the tailored cloud-based SRS:

1. Continue with Manual Processes (Do Nothing):

- **Description:** Maintain the current paper-based and spreadsheet-driven system.
- **Pros:** No upfront investment, no change management required.
- **Cons:** Escalating operational costs, high compliance risk, limited scalability, inability to leverage strategic supplier relationships, significant competitive disadvantage (as detailed in Section 4.5).

2. Enhance Existing ERP/Accounting System Vendor Module:

- **Description:** Customize or extend the existing ERP/accounting system (if any) to include more robust supplier registration functionalities.
- **Pros:** Leverages existing infrastructure, potentially lower integration costs.
- **Cons:** Limited flexibility, high customization costs for specific SRS features, potential for vendor lock-in, may not fully address all specialized SRS requirements (e.g., advanced compliance tracking, supplier portal features).

3. Off-the-Shelf Global SaaS Solution:

- **Description:** Implement a generic, globally available Software-as-a-Service (SaaS) supplier management platform.
- **Pros:** Rapid deployment, lower initial cost, regular updates, proven technology.
- **Cons:** May lack specific Sri Lankan regulatory compliance features, customization for local context can be expensive or impossible, potential data residency concerns, may not be optimized for the unique challenges of the

Sri Lankan logistics sector.

4. Custom-Developed Cloud-Based SRS (Recommended):

- **Description:** Develop a purpose-built, cloud-native SRS tailored to Chamith Holdings' specific needs and the Sri Lankan context.
- **Pros:** Full customization, optimal fit for business processes, complete control over features and data, high scalability, strong compliance adherence, competitive advantage.
- **Cons:** Higher initial development cost, longer implementation timeline, requires dedicated development and maintenance resources.

Comparison Table

Feature/Criteria	Manual Processes	ERP Module Enhancement	Global SaaS Solution	Custom Cloud-Based SRS (Recommended)
Upfront Cost	Low	Medium	Medium	High
Operational Cost	High	Medium	Medium	Low (post-implementation)
Implementation Time	Immediate	Medium	Short	Long
Flexibility/Customization	Very Low	Medium	Low	Very High
Sri Lanka Compliance	Very Low	Medium	Low	Very High
Scalability	Very Low	Medium	High	Very High
Risk Mitigation	Very Low	Medium	Medium	Very High
Strategic Alignment	Very Low	Medium	Medium	Very High

Justification for Recommended Option: The custom-developed cloud-based SRS, while requiring a higher initial investment and longer implementation time, offers the most comprehensive solution for Chamith Holdings. It provides unparalleled flexibility, ensures full compliance with the specific Sri Lankan regulatory environment, and is perfectly aligned with the company's strategic objectives for efficiency, risk mitigation, and growth. The long-term benefits in terms of operational efficiency, reduced compliance risk, and enhanced strategic supplier relationships far outweigh the initial investment, making it the most viable and sustainable option for Chamith Holdings.

SECTION 6: SYSTEM FEATURES & FUNCTIONALITIES

6.1 Complete Feature List

The proposed Supplier Registration System (SRS) will offer a comprehensive suite of features designed to cater to the needs of suppliers, Chamith Holdings' internal administrators, and senior management. These features are categorized by their primary user interface and prioritized based on their criticality for initial implementation.

Supplier Portal Features Table

Feature	Description	Priority (Must Have / Should Have / Nice to Have)
Online Registration Form	Web-based form for new suppliers to submit company details, contact info, etc.	Must Have
Document Upload & Management	Secure portal for uploading statutory documents (BR, VAT, TIN, etc.) and certifications.	Must Have
Profile Management	Suppliers can view and update their company profile, contact persons, and banking details.	Must Have
Application Status Tracking	Suppliers can check the real-time status of their registration application.	Must Have
Communication Center	Secure messaging system for direct communication with Chamith Holdings procurement team.	Should Have
Automated Notifications	Email/SMS alerts for application status changes, document expiry, and renewal reminders.	Must Have
FAQs & Help Center	Self-service knowledge base for common queries.	Should Have
Multi-Language Support	Option to view the portal in English, Sinhala, and Tamil.	Should Have

Admin Portal Features Table

Feature	Description	Priority (Must Have / Should Have / Nice to Have)
Supplier Application Review	Dashboard to view, review, approve, or reject new supplier applications.	Must Have
Document Verification Workflow	Automated and manual checks for submitted documents, with audit trails.	Must Have
Supplier Master Data Management	Centralized repository to manage all approved supplier profiles, contracts, and historical data.	Must Have
Compliance Monitoring	Tracking of statutory document expiry dates (BR, VAT, TIN) with automated alerts.	Must Have
User Role & Access Management	Define and manage roles and permissions for internal users.	Must Have
Audit Trails & Logs	Comprehensive logging of all actions performed within the system.	Must Have
Supplier Performance Management	Tools to define KPIs, record performance data, and generate scorecards.	Should Have
Reporting & Analytics	Generate custom reports on supplier data, compliance, and performance.	Must Have
Communication Management	Send targeted communications to individual suppliers or groups.	Should Have
Integration Management	Configuration and monitoring of integrations with other internal systems.	Should Have

Management Dashboard Features Table

Feature	Description	Priority (Must Have / Should Have / Nice to Have)
Overview of Supplier Base	High-level summary of active, pending, and blacklisted suppliers.	Must Have
Compliance Status at a Glance	Dashboard showing overall compliance health, expiring documents, and risks.	Must Have
Key Performance Indicators (KPIs)	Visual representation of key procurement and supplier performance metrics.	Must Have
Spend Analysis Summary	High-level breakdown of procurement spend by category and supplier.	Should Have
Risk Exposure Summary	Overview of identified risks and their mitigation status.	Should Have
Process Efficiency Metrics	Data on average onboarding time, document processing time, etc.	Should Have

6.2 Detailed Feature Descriptions

Online Registration Form

The online registration form will be dynamic and intuitive, guiding suppliers through the necessary data entry fields. It will include sections for:

- **Company Information:** Legal name, business registration number, address, contact details, industry classification.
- **Statutory Compliance:** Fields for VAT registration number, TIN, EPF/ETF numbers, and other relevant Sri Lankan tax and labor registrations.
- **Banking Details:** Secure entry for bank name, account number, and branch for payment processing.
- **Certifications & Licenses:** Upload fields for industry-specific licenses, quality certifications (e.g., ISO), and environmental compliance documents.
- **Declaration:** A digital declaration by the supplier confirming the accuracy of information and agreement to Chamith Holdings' terms and conditions.

Document Upload & Management

This feature will allow suppliers to securely upload required documents in various formats (PDF, JPEG, PNG). The system will:

- Provide clear instructions on required document types and formats.
- Allow for multiple document uploads per category.
- Maintain version control for updated documents.
- Trigger automated alerts for document expiry dates to both suppliers and internal staff.

Automated Notifications

The system will leverage email and SMS (where appropriate) to send automated notifications for critical events, such as:

- Registration application submission confirmation.
- Requests for additional information or document clarification.
- Approval or rejection of registration applications.
- Upcoming document expiry reminders (e.g., 90, 60, 30 days before expiry).
- Annual renewal reminders for supplier profiles.

Supplier Performance Management

This module will enable Chamith Holdings to move beyond anecdotal feedback to data-driven supplier evaluation. Key aspects include:

- **Customizable KPIs:** Define performance indicators relevant to logistics, such as on-time delivery rate, quality of service, responsiveness, and adherence to contractual terms.
- **Scorecards:** Generate automated scorecards based on predefined criteria and data inputs from various departments (e.g., Operations, Quality Control).
- **Feedback Mechanism:** Allow internal users to provide structured feedback on supplier performance.
- **Performance Reviews:** Facilitate periodic performance review meetings with key suppliers, with records maintained within the system.

6.3 System Security Features

Security is paramount for an SRS, especially when handling sensitive supplier data. The system will incorporate the following security measures:

- **Role-Based Access Control (RBAC):** Granular permissions ensuring users only access data and functionalities relevant to their roles (e.g., procurement staff can approve, finance can view banking details, suppliers can only see their own data).
- **Data Encryption:** All data, both in transit (using HTTPS/TLS) and at rest (database encryption), will be encrypted to protect against unauthorized access.
- **Audit Trails:** Comprehensive logging of all user activities, data modifications, and system events for accountability and compliance auditing.
- **Secure Authentication:** Multi-factor authentication (MFA) for internal users and strong password policies for all users.
- **Regular Security Audits:** Periodic vulnerability assessments and penetration testing to identify and address potential security weaknesses.
- **Data Backup & Recovery:** Robust backup and disaster recovery mechanisms to ensure data availability and business continuity.

6.4 Integration Requirements

Seamless integration with existing internal systems is crucial to maximize the value of the SRS and avoid data silos. The primary integration points include:

- **Existing ERP/Accounting System:**
 - **Purpose:** To synchronize approved supplier master data (e.g., vendor ID, company name, address, banking details) from the SRS to the ERP/accounting system, preventing duplicate data entry and ensuring consistency for purchase order and payment processing.
 - **Integration Method:** API-based integration for real-time or near real-time data exchange.
 - **Priority Level:** Must Have (for efficient financial operations).

- **Future Integration with Government APIs (e.g., IRD, DRC):**
 - **Purpose:** To enable automated verification of supplier statutory details (e.g., Business Registration status, TIN validity, VAT registration) directly with government databases, significantly reducing manual verification effort and enhancing compliance accuracy.
 - **Integration Method:** API-based integration, subject to availability and access protocols provided by Sri Lankan government agencies.
 - **Priority Level:** Should Have (for long-term efficiency and compliance automation).

6.5 Reporting and Analytics Features

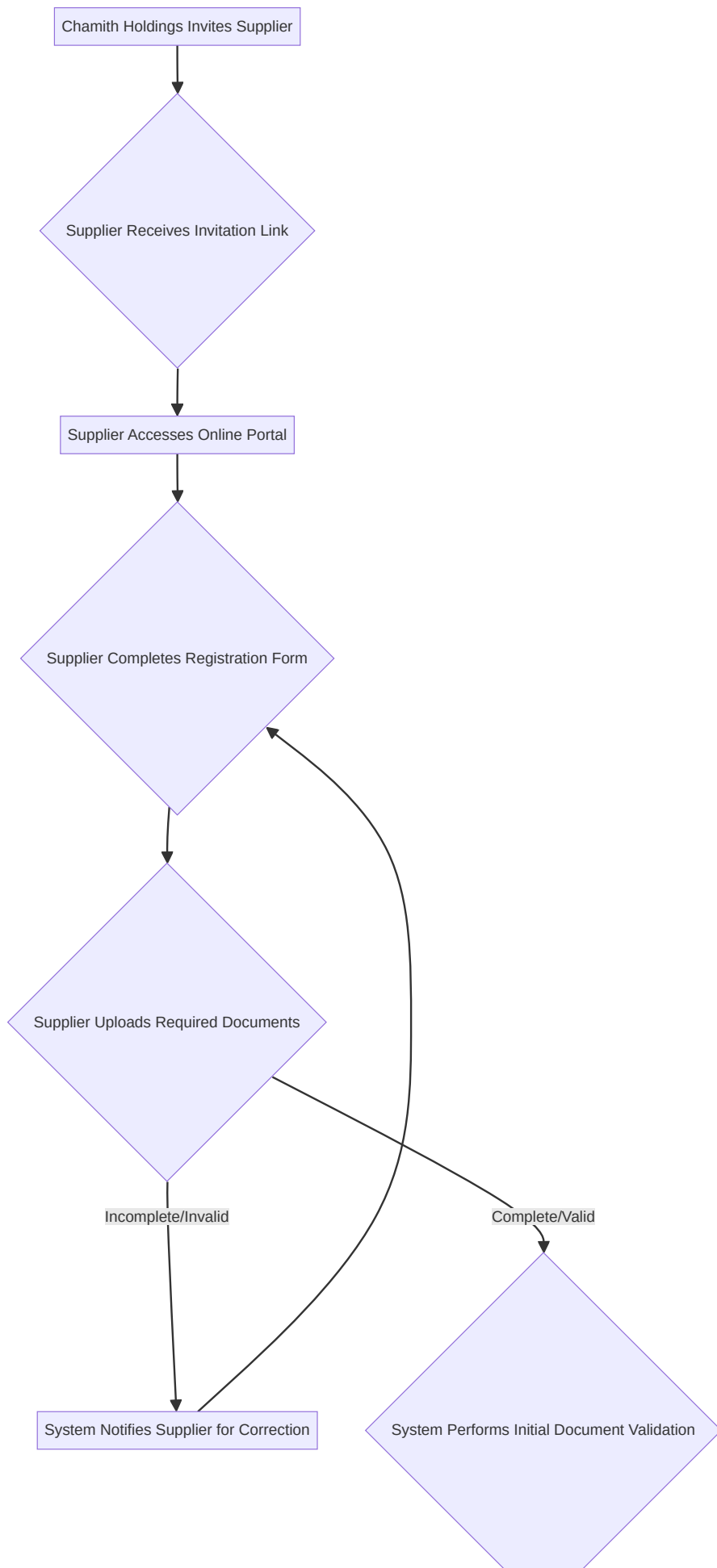
The SRS will provide powerful reporting and analytics capabilities to offer actionable insights into Chamith Holdings' supplier ecosystem:

- **Standard Reports:** Pre-built reports for common requirements, such as:
 - List of all active/inactive suppliers.
 - Suppliers by category/location.
 - Documents expiring within 30/60/90 days.
 - Supplier onboarding funnel analysis.
 - Compliance status reports.
- **Custom Report Builder:** A user-friendly interface for authorized users to create ad-hoc reports by selecting specific data fields and applying filters.
- **Interactive Dashboards:** Visual dashboards providing real-time KPIs and trends for management, including:
 - Total number of registered suppliers.
 - Average supplier onboarding time.
 - Compliance rate of the supplier base.
 - Supplier performance trends.
- **Export Functionality:** Ability to export reports and data in various formats (e.g., PDF, Excel, CSV) for further analysis or sharing.
- **Analytics Capabilities:** Basic analytical tools to identify trends, anomalies, and opportunities within the supplier data, supporting strategic decision-making in procurement.

SECTION 7: SUPPLIER REGISTRATION PROCESS

7.1 Complete Registration Process Flow

The proposed Supplier Registration System (SRS) will transform the current manual process into a streamlined, digital workflow. This section details the step-by-step process for supplier registration, from initial invitation to final approval and annual renewal.



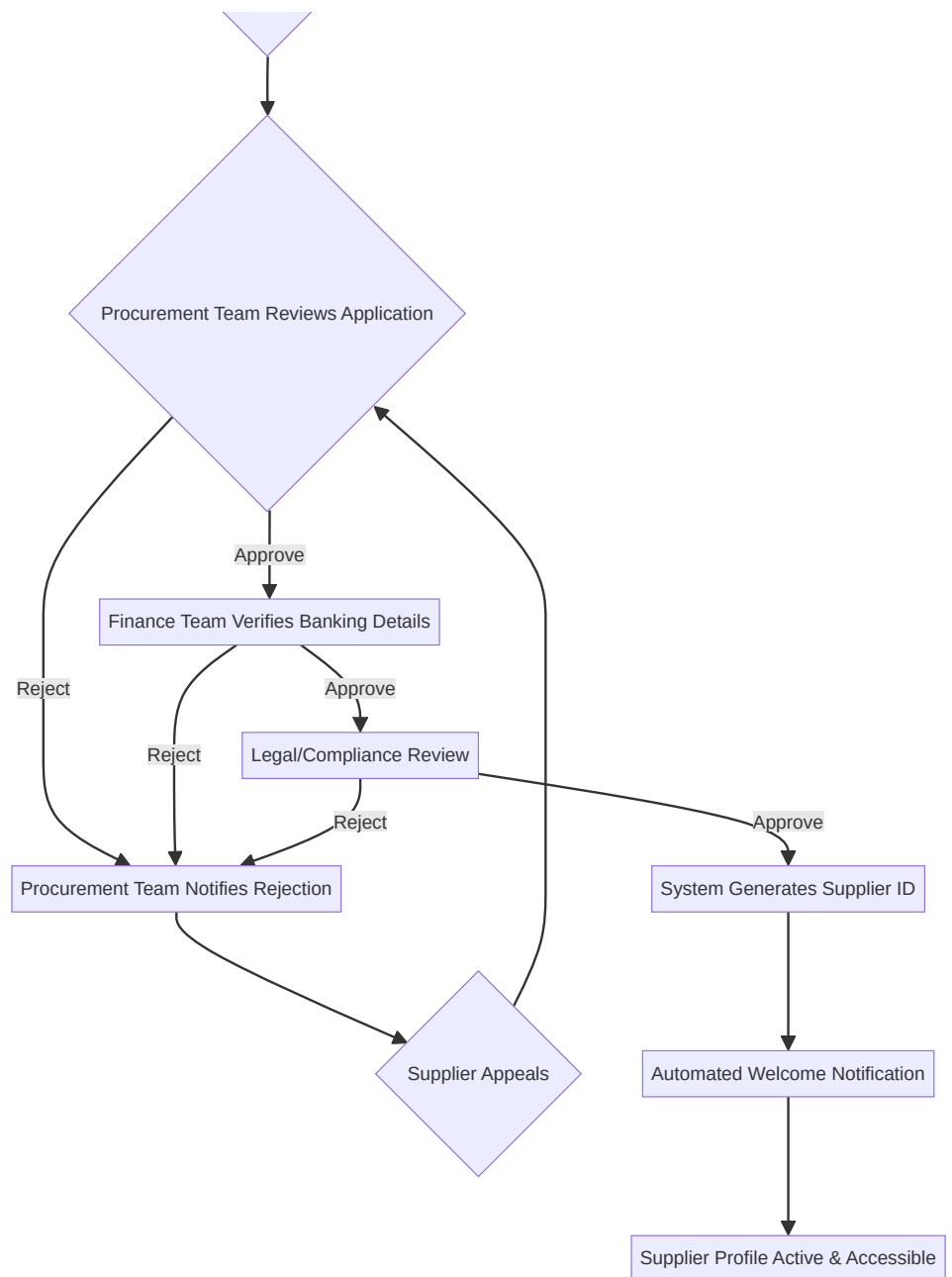


Figure 7.1.1: To-Be Digital Supplier Registration Process Flow with SRS

Step-by-Step Process with Decision Points

- Chamith Holdings Invites Supplier:** Chamith Holdings initiates the process by sending an invitation (via email) to a potential supplier, containing a unique link to the SRS Supplier Portal.
- Supplier Receives Invitation Link:** The supplier clicks the link and is directed to the secure online registration portal.
- Supplier Accesses Online Portal:** The supplier creates an account (if new) or logs in (if existing) to begin the registration process.
- Supplier Completes Registration Form:** The supplier fills out the online registration form, providing all necessary company details, contact information, and business specifics.
- Supplier Uploads Required Documents:** The supplier uploads digital copies of all mandatory documents (e.g., Business Registration, VAT Certificate, TIN, industry-specific licenses) as specified by the system.
- System Notifies Supplier for Correction:** If the system detects missing mandatory fields or documents, or if initial validation fails, the supplier is automatically notified to correct and resubmit.

7. **System Performs Initial Document Validation:** The SRS performs automated checks on uploaded documents (e.g., file type, size, basic content checks, and potentially OCR for data extraction and cross-referencing).
8. **Procurement Team Reviews Application:** A Procurement Officer reviews the submitted application and documents for completeness and accuracy. This may involve manual verification against external sources if automated checks are not yet fully integrated.
9. **Procurement Team Notifies Supplier of Rejection & Reason:** If the application is rejected at this stage, the supplier receives an automated notification with clear reasons for rejection.
10. **Supplier Appeals (Optional):** The supplier may choose to appeal the decision by providing additional information or clarification, which re-initiates the review process.
11. **Finance Team Verifies Banking Details:** Upon Procurement approval, the Finance team verifies the submitted banking details to prevent fraudulent payments.
12. **Legal/Compliance Team Final Review:** The Legal/Compliance team conducts a final review to ensure adherence to all statutory and internal compliance requirements, especially for high-risk suppliers.
13. **System Generates Supplier ID & Adds to Approved List:** Once all approvals are secured, the system automatically generates a unique Supplier ID and adds the supplier to the approved vendor list.
14. **Automated Welcome Notification to Supplier:** The supplier receives an automated welcome email, confirming their successful registration and providing access details to their active profile.
15. **Supplier Profile Active & Accessible:** The supplier's profile is now active in the SRS, and they can manage their details and receive communications.

7.2 Process Timeline Table

Stage	Activity	Responsible Person/System	Timeline (Working Days)	Output/Deliverable
Initiation	Supplier Invitation	Chamith Holdings Staff	0.5	Invitation Email with Link
Supplier Submission	Online Form Completion & Document Upload	Supplier	1-3	Submitted Application
Initial Validation	System Auto-Validation	SRS	0.1	Validation Report
Procurement Review	Application & Document Review	Procurement Officer	1-2	Procurement Approval/Rejection
Financial Verification	Banking Details Verification	Finance Team	0.5-1	Financial Approval
Compliance Review	Legal/Compliance Check	Legal/Compliance Team	0.5-1	Compliance Approval
Finalization	System Approval & ID Generation	SRS	0.1	Approved Supplier Profile
Notification	Welcome Notification	SRS	0.1	Welcome Email
Total Estimated Time			3.8 - 7.8 days	Onboarded Supplier

7.3 Required Documents Checklist

The SRS will clearly outline mandatory and optional documents based on supplier type and category. A comprehensive checklist will be available to suppliers within the portal.

Section A: Legal Documents

- **Business Registration Certificate:** Mandatory for all entities. (e.g., Certificate of Incorporation, Business Name Registration) [6] [7]
- **Articles of Association/Memorandum of Association:** Mandatory for Private/Public Limited Companies.
- **Form 1, 20, etc. (Companies Act):** Mandatory for verifying directors and shareholding structure.
- **VAT Registration Certificate:** Mandatory for VAT-registered suppliers. [1]
- **TIN Registration Certificate:** Mandatory for all businesses and individuals above 18. [10] [11]
- **SVAT Registration Certificate:** Mandatory for eligible suppliers until October 1, 2025. [3]

Section B: Financial Documents

- **Bank Account Details:** Mandatory for payment processing.
- **Audited Financial Statements:** Optional, but may be required for strategic or high-value suppliers (e.g., last 2-3 years).

- **Tax Clearance Certificate:** Optional, may be requested for specific contracts.

Section C: Technical Documents

- **Industry-Specific Licenses/Permits:** Mandatory for regulated industries (e.g., transport permits, environmental licenses for logistics).
- **Quality Certifications:** Optional (e.g., ISO 9001, ISO 14001).
- **Health & Safety Certifications:** Optional, but recommended for suppliers operating on Chamith Holdings premises.
- **Insurance Certificates:** Mandatory for relevant services (e.g., Goods in Transit, Public Liability).

Section D: Policy Documents

- **Supplier Code of Conduct Acknowledgment:** Mandatory (digital acknowledgment within the portal).
- **Environmental Policy:** Optional.
- **CSR Policy:** Optional.

7.4 Supplier Communication Plan

The SRS will automate and standardize supplier communications throughout the registration and lifecycle process.

- **What communications are sent:**
 - Invitation to register.
 - Application submission confirmation.
 - Requests for additional information/clarification.
 - Status updates (under review, approved, rejected).
 - Welcome notification upon approval.
 - Document expiry reminders.
 - Annual profile renewal reminders.
 - General announcements or policy updates.
- **When they are sent:** Triggered automatically by workflow events (e.g., form submission, document expiry date, status change) or manually by the procurement team for specific announcements.
- **Who sends them:** Primarily the SRS system (automated), with the Procurement Team managing manual communications and template customization.
- **Template descriptions:** Standardized, professional email templates will be pre-configured within the system, allowing for personalization with supplier-specific details. Templates will be available in English, with Sinhala and Tamil versions considered for key communications.

7.5 Annual Renewal Process

To ensure supplier data and compliance remain current, the SRS will manage an annual renewal process.

- **How renewals work:** Suppliers will receive automated notifications (email/SMS) prompting them to review and update their profile information and re-upload any expired documents. The system will guide them through a simplified renewal form.
- **Timeline for renewals:** Notifications will be sent out [e.g., 60 days] before the annual renewal date. Suppliers will have [e.g., 30 days] to complete the renewal process.

- **Documents needed for renewal:** Suppliers will be prompted to update any expired legal, financial, or technical documents. The system will highlight specific documents requiring attention.
- **Consequences of non-renewal:** Failure to renew within the stipulated timeframe will result in the supplier's status being flagged as 'non-compliant' or 'inactive', potentially leading to suspension from new procurement activities until renewal is complete. Automated notifications will warn suppliers of impending consequences.

SECTION 8: SUPPLIER CATEGORIES & CLASSIFICATION

8.1 Main Category Structure

Effective supplier management requires a structured approach to categorizing suppliers. The SRS will implement a hierarchical category structure, allowing Chamith Holdings to segment its supplier base logically. This will facilitate targeted sourcing strategies, performance management, and risk assessment. A 3-level hierarchy is proposed for comprehensive classification.

- **Level 1: Main Category** (e.g., Logistics Services, IT Services, Office Supplies)
- **Level 2: Sub-Category** (e.g., Freight Forwarding, Software Development, Stationery)
- **Level 3: Specific Service/Product** (e.g., Air Freight, ERP Implementation, Printer Cartridges)

Category Codes

Each category and sub-category will be assigned a unique alphanumeric code for easy identification and reporting (e.g., LOG-FF-AIR for Air Freight Logistics).

Category Descriptions

Clear descriptions for each category will ensure consistent classification across the organization.

8.2 Complete Category List

Given Chamith Holdings' operations in the logistics industry, the following categories and sub-categories are proposed. This list is illustrative and can be further refined during implementation.

Main Category	Sub-Category	Specific Service/Product	Category Code
Logistics Services	Freight Forwarding	Air Freight	LOG-FF-AIR
		Sea Freight	LOG-FF-SEA
		Road Transportation (Local)	LOG-FF-ROAD-L
		Road Transportation (Inter-city)	LOG-FF-ROAD-I
	Warehousing & Storage	General Warehousing	LOG-WS-GEN
		Cold Storage	LOG-WS-COLD
	Customs Brokerage	Import Customs Clearance	LOG-CB-IMP
		Export Customs Clearance	LOG-CB-EXP
	Courier & Express Services	Local Courier	LOG-CE-LOC
		International Express	LOG-CE-INT
Vehicle & Fleet Management	Vehicle Maintenance & Repair	Light Vehicle Repair	VFM-MR-LV
		Heavy Vehicle Repair	VFM-MR-HV
	Vehicle Parts & Spares	Engine Parts	VFM-PS-ENG
		Tire Suppliers	VFM-PS-TIR
	Fuel & Lubricants	Diesel Supply	VFM-FL-DIE
		Petrol Supply	VFM-FL-PET
	Vehicle Leasing	Light Vehicle Leasing	VFM-VL-LV
		Heavy Vehicle Leasing	VFM-VL-HV
IT & Telecommunications	Software & Systems	ERP Software	ITT-SS-ERP
		Logistics Software	ITT-SS-LOG
	Hardware & Equipment	Servers & Networking	ITT-HE-SER
		Desktops & Laptops	ITT-HE-DES
	Telecommunication Services	Internet Service Provider	ITT-TS-ISP
		Mobile Communication	ITT-TS-MOB
Office & Administrative	Office Supplies	Stationery	OAD-OS-STA
		Printing Services	OAD-OS-PRI
	Cleaning & Maintenance	Office Cleaning	OAD-CM-OFF

Main Category	Sub-Category	Specific Service/Product	Category Code
		Vehicle Cleaning	OAD-CM-VEH
	Security Services	Office Security	OAD-SS-OFF
		Warehouse Security	OAD-SS-WAR
Professional Services	Legal Services	Corporate Law	PRO-LS-COR
		Labor Law	PRO-LS-LAB
	Consulting Services	Management Consulting	PRO-CS-MAN
		IT Consulting	PRO-CS-IT
	Training & Development	Logistics Training	PRO-TD-LOG
		IT Skills Training	PRO-TD-IT

8.3 Supplier Classification by Size

To effectively manage diverse suppliers, Chamith Holdings will classify them based on their size, typically indicated by annual turnover. This helps in applying appropriate due diligence, risk assessment, and relationship management strategies.

- **Class A (Large Enterprises):** Annual turnover > LKR 500 Million
- **Class B (Medium Enterprises):** Annual turnover LKR 50 Million - LKR 500 Million
- **Class C (Small Enterprises):** Annual turnover LKR 5 Million - LKR 50 Million
- **Class D (Micro Enterprises/Individual Contractors):** Annual turnover < LKR 5 Million

8.4 Supplier Tiering Strategy

Beyond size, suppliers will be tiered based on their strategic importance, impact on Chamith Holdings' operations, and the criticality of the goods/services they provide. This tiering informs the level of engagement and relationship management.

- **Tier 1 (Strategic Partners):** Critical suppliers providing unique or highly specialized services essential to Chamith Holdings' core operations (e.g., primary freight forwarding partners, key IT system providers). These require deep collaboration, joint planning, and regular performance reviews.
- **Tier 2 (Key Suppliers):** Important suppliers providing significant volumes or services that are readily available from multiple sources but are crucial for day-to-day operations (e.g., major fuel suppliers, vehicle maintenance providers). These require active management and performance monitoring.
- **Tier 3 (Tactical Suppliers):** Suppliers providing standard, low-value, or easily replaceable goods/services (e.g., office supplies, ad-hoc courier services). These require efficient transactional management with minimal strategic oversight.

8.5 Supplier Segmentation Matrix

A segmentation matrix combines the strategic importance (tiering) with the spend volume to provide a comprehensive view of the supplier portfolio, guiding resource allocation and relationship management efforts.

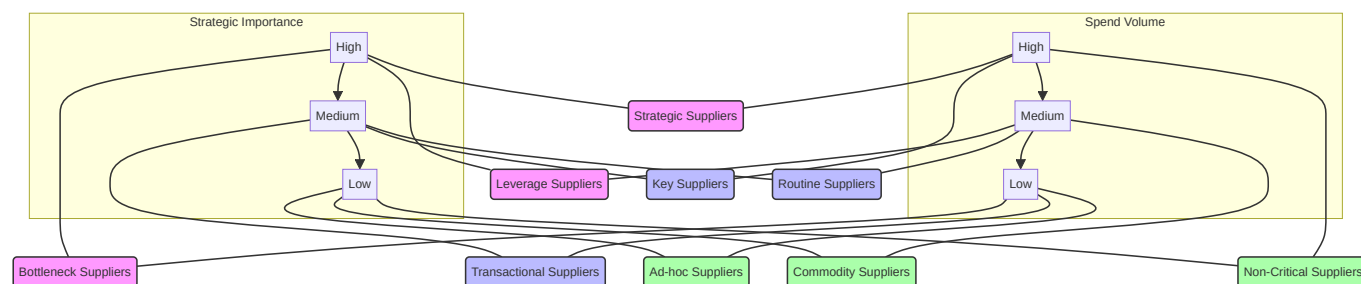


Figure 8.5.1: Supplier Segmentation Matrix (Adapted from Kraljic Matrix)

This matrix will help Chamith Holdings to:

- **Strategic Suppliers:** Focus on long-term partnerships, innovation, and risk sharing.
- **Leverage Suppliers:** Optimize pricing and terms through competitive bidding.
- **Bottleneck Suppliers:** Develop alternative sources and manage supply continuity risks.
- **Routine Suppliers:** Streamline processes for efficiency and cost reduction.

SECTION 9: SUPPLIER PERFORMANCE MANAGEMENT

9.1 Performance Framework

The Supplier Registration System (SRS) will establish a robust framework for continuous supplier performance management, moving Chamith Holdings from reactive issue resolution to proactive performance optimization. This framework will ensure that suppliers consistently meet expectations, contribute to operational efficiency, and align with the company's strategic goals. The framework will be built on clear objectives, measurable KPIs, regular reviews, and a structured feedback loop.

9.2 KPI Definition

Key Performance Indicators (KPIs) will be defined for each supplier category and tier, reflecting the specific requirements and criticality of the goods or services provided. These KPIs will be quantifiable and directly linked to Chamith Holdings' operational and strategic objectives.

General Supplier KPIs (Applicable to most suppliers):

- **On-Time Delivery (OTD):** Percentage of deliveries made by the agreed-upon date and time.
- **Quality of Goods/Services:** Percentage of goods/services meeting specified quality standards, often measured by defect rates or service level agreement (SLA) adherence.
- **Invoice Accuracy:** Percentage of invoices that are accurate and do not require reconciliation.
- **Responsiveness:** Time taken for suppliers to respond to inquiries or requests.
- **Compliance Adherence:** Percentage of statutory documents (BR, VAT, TIN, licenses) that are current and valid.

Logistics-Specific Supplier KPIs (for Chamith Holdings):

- **Transit Time Adherence:** Percentage of shipments delivered within the agreed transit time.

- **Damage Rate:** Percentage of goods damaged during transit or handling.
- **Documentation Accuracy:** Accuracy of shipping documents, customs declarations, and other logistics paperwork.
- **Fleet Availability/Reliability:** For transport service providers, the uptime and reliability of their fleet.
- **Customs Clearance Efficiency:** Speed and accuracy of customs clearance processes.
- **Route Optimization Suggestions:** Supplier's proactive suggestions for improving logistics routes or methods.

9.3 Performance Review Process

A structured performance review process will be implemented, varying in frequency and depth based on the supplier's tier and strategic importance.

- **Tier 1 (Strategic Partners):** Quarterly or bi-annual strategic business reviews (SBRs) involving senior management from both Chamith Holdings and the supplier. Focus on long-term goals, innovation, and continuous improvement.
- **Tier 2 (Key Suppliers):** Bi-annual or annual operational reviews conducted by the Procurement Team. Focus on KPI performance, issue resolution, and short-term improvements.
- **Tier 3 (Tactical Suppliers):** Annual performance checks, primarily system-driven, focusing on basic compliance and transactional efficiency.

Each review will involve:

- **Data Collection:** Gathering performance data from the SRS, operational systems, and internal feedback.
- **Performance Assessment:** Comparing actual performance against agreed KPIs and targets.
- **Feedback & Discussion:** Providing constructive feedback to the supplier and discussing areas for improvement.
- **Action Planning:** Jointly developing action plans for addressing performance gaps or leveraging strengths.

9.4 Scorecard and Rating System

The SRS will incorporate an automated scorecard and rating system to provide an objective and transparent evaluation of supplier performance. This system will:

- **Weighted KPIs:** Allow for different weighting of KPIs based on their importance to Chamith Holdings.
- **Automated Scoring:** Calculate scores based on data inputs (e.g., OTD data from logistics operations, invoice accuracy from finance).
- **Supplier Rating:** Assign an overall rating (e.g., Excellent, Good, Satisfactory, Needs Improvement, Poor) to each supplier based on their scorecard results.
- **Visual Dashboards:** Present performance data and ratings through intuitive dashboards, enabling quick identification of high-performing and underperforming suppliers.
- **Historical Tracking:** Maintain a historical record of supplier performance, allowing for trend analysis and long-term performance monitoring.

9.5 Corrective Action Process

For suppliers whose performance falls below acceptable thresholds, a clear corrective action process will be initiated:

1. **Identification:** The SRS will flag underperforming suppliers based on predefined thresholds in their scorecards.
2. **Notification:** The Procurement Team will formally notify the supplier of the performance issue, providing specific data and evidence.

3. **Root Cause Analysis:** Chamith Holdings and the supplier will collaboratively identify the root causes of the performance gap.
4. **Corrective Action Plan (CAP):** A CAP will be developed, outlining specific actions, responsibilities, and timelines for improvement. This plan will be documented and tracked within the SRS.
5. **Monitoring & Review:** Performance will be closely monitored against the CAP. Regular follow-up meetings will be scheduled to review progress.
6. **Escalation:** If performance does not improve as per the CAP, the issue will be escalated to higher management, potentially leading to a review of the supplier relationship, contract renegotiation, or ultimately, supplier de-registration.

This structured approach ensures that performance issues are addressed systematically, promoting continuous improvement and safeguarding Chamith Holdings' operational integrity.

SECTION 10: COMPLIANCE & GOVERNANCE

10.1 Regulatory Framework (Sri Lanka)

Chamith Holdings operates within a dynamic regulatory landscape in Sri Lanka. The SRS will be designed to ensure robust compliance with key national laws and regulations governing business operations and taxation. This proactive approach mitigates legal and financial risks.

- **Companies Act No. 7 of 2007 (as amended):** This Act governs the incorporation, operation, and dissolution of companies in Sri Lanka [6] [7]. The SRS will facilitate the verification of supplier registration status, legal entity type, and key corporate information. Recent amendments emphasizing beneficial ownership disclosure will also be considered for enhanced transparency [8].
- **Value Added Tax (VAT) Act No. 14 of 2002 (as amended):** VAT is a consumption tax levied on goods and services in Sri Lanka [1]. The SRS will track suppliers' VAT registration status and ensure that only VAT-registered entities are engaged for transactions requiring VAT. It will also manage the transition away from the Simplified VAT (SVAT) scheme, which is scheduled for repeal by October 1, 2025 [2] [3].
- **Inland Revenue Act No. 24 of 2017 (as amended):** This Act governs income tax and other direct taxes. The SRS will support the verification of Taxpayer Identification Numbers (TIN) for all suppliers, a mandatory requirement for individuals and businesses in Sri Lanka [10] [11].
- **Other Relevant Legislation:** This includes, but is not limited to, labor laws (e.g., Employees' Provident Fund (EPF) and Employees' Trust Fund (ETF) Acts), environmental regulations, and industry-specific licenses pertinent to the logistics sector.

10.2 Internal Policies & Procedures

The SRS will enforce Chamith Holdings' internal procurement policies and procedures, ensuring consistency, transparency, and accountability across all supplier interactions.

- **Procurement Policy Adherence:** The system will embed rules and workflows that align with the company's procurement policy, including approval matrices, spending limits, and ethical sourcing guidelines.
- **Standard Operating Procedures (SOPs):** Digital SOPs for supplier onboarding, performance review, and off-boarding will be accessible within the SRS, ensuring all staff follow standardized processes.
- **Segregation of Duties:** The system's role-based access control (RBAC) will enforce segregation of duties, preventing conflicts of interest and reducing the risk of fraud.

10.3 Audit & Assurance

To maintain high standards of governance, the SRS will provide comprehensive audit and assurance capabilities.

- **Audit Trails:** Every action within the system, including data changes, approvals, and document uploads, will be logged with timestamps and user details, creating an immutable audit trail.
- **Compliance Reporting:** The system will generate reports on supplier compliance status, document validity, and adherence to internal policies, facilitating internal and external audits.
- **Regular Reviews:** The SRS will support periodic reviews of supplier data and processes to identify and rectify any non-compliance issues proactively.

10.4 Data Privacy & Security

Protecting sensitive supplier data is critical. The SRS will incorporate robust data privacy and security measures.

- **Data Encryption:** All supplier data, both at rest and in transit, will be encrypted using industry-standard protocols.
- **Access Controls:** Strict role-based access controls will limit access to sensitive information to authorized personnel only.
- **Data Residency:** Data will be hosted in secure cloud environments, with consideration for data residency requirements if specific Sri Lankan regulations emerge.
- **Backup and Recovery:** Comprehensive data backup and disaster recovery plans will be in place to ensure data integrity and availability.

10.5 Ethical Sourcing & Sustainability

Chamith Holdings is committed to ethical business practices. The SRS will support the company's ethical sourcing and sustainability initiatives.

- **Supplier Code of Conduct:** The system will require suppliers to acknowledge and adhere to Chamith Holdings' Supplier Code of Conduct as part of the registration process.
- **Sustainability Criteria:** The SRS can be configured to collect information on suppliers' environmental, social, and governance (ESG) practices, allowing Chamith Holdings to prioritize partners who align with its sustainability goals.
- **Risk Assessment:** The system will aid in identifying and monitoring risks related to unethical labor practices, environmental non-compliance, or other sustainability concerns within the supply chain.

SECTION 11: TECHNOLOGY & INFRASTRUCTURE

11.1 Technology Stack

The proposed Supplier Registration System (SRS) will be built using a modern, scalable, and secure technology stack. This ensures flexibility, maintainability, and the ability to integrate with future systems.

- **Frontend:** React.js / Vue.js (for dynamic and responsive user interfaces for both Supplier and Admin Portals).
- **Backend:** Node.js (Express.js) or Python (Django/Flask) (for robust API development and business logic).
- **Database:** PostgreSQL (for relational data storage, known for reliability and scalability).
- **Cloud Platform:** AWS (Amazon Web Services) or Google Cloud Platform (GCP) (for hosting, scalability, and managed services).

- **Containerization:** Docker (for consistent development and deployment environments).
- **Version Control:** Git (for collaborative development and code management).

11.2 Hosting & Scalability

The SRS will be hosted on a reputable cloud platform (AWS or GCP) to ensure high availability, scalability, and disaster recovery capabilities. This approach offers significant advantages over on-premise solutions, particularly for a growing company like Chamith Holdings.

- **Cloud Hosting:** Leveraging cloud services provides on-demand scalability, allowing the system to handle increasing numbers of suppliers and users without significant upfront hardware investments.
- **High Availability:** Redundant infrastructure across multiple availability zones ensures continuous operation, minimizing downtime.
- **Elasticity:** The system will be designed to automatically scale resources up or down based on demand, optimizing performance and cost.
- **Global Reach (Future):** Cloud infrastructure inherently supports global access, facilitating future expansion if Chamith Holdings operates internationally.

11.3 Data Migration Strategy

A comprehensive data migration strategy will be developed to ensure a smooth transition of existing supplier data into the new SRS.

- **Data Audit & Cleansing:** Prior to migration, existing supplier data (from spreadsheets, ERP, etc.) will be audited, cleansed, and de-duplicated to ensure data quality.
- **Mapping:** A detailed mapping document will be created to align existing data fields with the new SRS data model.
- **Phased Migration:** Data migration may occur in phases, starting with critical supplier information, followed by historical data.
- **Validation:** Post-migration, rigorous validation will be performed to ensure data integrity and accuracy in the new system.
- **Rollback Plan:** A contingency plan will be in place to revert to the old system if unforeseen issues arise during migration.

11.4 Disaster Recovery & Business Continuity

To protect against data loss and ensure continuous operation, robust disaster recovery (DR) and business continuity (BC) plans will be implemented.

- **Automated Backups:** Regular, automated backups of the database and document repository will be performed and stored in geographically separate locations.
- **Recovery Point Objective (RPO):** Defined RPO to minimize data loss in the event of a disaster (e.g., last 15 minutes of data).
- **Recovery Time Objective (RTO):** Defined RTO to ensure rapid restoration of services following an outage (e.g., system fully operational within 4 hours).
- **Redundancy:** Critical system components will be deployed with redundancy to prevent single points of failure.
- **Monitoring & Alerting:** Continuous monitoring of system health and performance, with automated alerts for any anomalies.

11.5 Future Roadmap

The SRS will be designed with future enhancements and integrations in mind, allowing Chamith Holdings to evolve its procurement capabilities.

- **Advanced Analytics & AI:** Integration of advanced analytics and AI/ML capabilities for predictive insights into supplier risk, performance, and market trends.
- **Blockchain for Supply Chain Traceability:** Exploration of blockchain technology for enhanced transparency and traceability of goods in the logistics supply chain.
- **Mobile Application:** Development of a dedicated mobile application for suppliers and internal staff for on-the-go access and approvals.
- **e-Procurement Integration:** Seamless integration with broader e-procurement modules such as e-sourcing, e-bidding, and contract management.
- **IoT Integration:** For logistics, integration with IoT devices for real-time tracking of shipments and assets, feeding into supplier performance metrics.

SECTION 12: IMPLEMENTATION PLAN

12.1 Project Governance

Successful implementation of the Supplier Registration System (SRS) requires a clear and effective project governance structure. This structure will define roles, responsibilities, decision-making processes, and communication channels to ensure the project stays on track, within budget, and meets its objectives.

- **Project Steering Committee:** Comprising senior management (CEO, Head of Procurement, Head of Finance, Head of IT) from Chamith Holdings. This committee will provide strategic direction, approve major decisions, resolve high-level issues, and monitor overall project progress. Meetings will be held monthly.
- **Project Manager:** A dedicated Project Manager (either internal or external consultant) will be responsible for day-to-day project planning, execution, monitoring, and control. The Project Manager will report to the Project Steering Committee.
- **Project Team:** Consisting of representatives from Procurement, IT, Finance, and Legal/Compliance departments. This team will be responsible for detailed planning, system configuration, testing, data migration, and training. Weekly team meetings will be held.
- **Vendor Management (if external vendor):** A dedicated point of contact within Chamith Holdings will manage the relationship with the SRS development/implementation vendor, ensuring deliverables are met and issues are resolved promptly.

12.2 Project Management Approach

A hybrid project management approach, combining elements of Agile for development flexibility and Waterfall for overall structure and planning, is recommended. This approach allows for iterative development and continuous feedback while maintaining clear project phases and milestones.

- **Methodology:** Agile (Scrum) for software development sprints within each phase, overseen by a Waterfall framework for overall project phases and governance.
- **Why this methodology was chosen:** This hybrid approach provides the necessary flexibility to adapt to evolving requirements during development (Agile) while ensuring that the project remains aligned with strategic objectives and budget constraints (Waterfall).

- **Key principles:** Transparency, continuous improvement, stakeholder collaboration, early and continuous delivery of valuable software, and adaptability to change.

12.3 Detailed Phased Implementation Plan

The SRS implementation will be executed in distinct phases to manage complexity, mitigate risks, and deliver incremental value. The total estimated duration for implementation is [e.g., 6-9 months].

PHASE 1: Planning & Design (Estimated: 6-8 Weeks)

- **Activities:**
 - Kick-off meeting and project team formation.
 - Detailed requirements gathering and documentation (functional and non-functional).
 - “As-Is” and “To-Be” process mapping workshops.
 - System architecture finalization and technology stack confirmation.
 - User interface (UI) and user experience (UX) design for Supplier and Admin Portals.
 - Data migration strategy and plan development.
 - Integration strategy with existing ERP/accounting systems.
 - Test plan development.
- **Timeline:** Weeks 1-8
- **Responsible Team:** Project Manager, Business Analysts, UI/UX Designers, Technical Architects, Procurement, IT, Finance.
- **Deliverables:** Detailed Requirements Document, System Design Document, UI/UX Mockups, Data Migration Plan, Integration Plan, Test Plan.
- **Success Criteria:** Stakeholder sign-off on all design documents and plans.

PHASE 2: Development (Estimated: 12-16 Weeks)

- **Activities:**
 - Backend development (database, APIs, business logic).
 - Frontend development (Supplier Portal, Admin Portal).
 - Core SRS modules development (registration, document management, workflow).
 - Integration development with existing ERP/accounting system.
 - Unit testing and integration testing.
- **Timeline:** Months 3-6
- **Responsible Team:** Development Team, Project Manager, IT.
- **Deliverables:** Developed SRS modules, Integrated components, Technical Documentation.
- **Success Criteria:** All core functionalities developed and passed internal testing; successful data exchange with ERP.

PHASE 3: Testing (Estimated: 4-6 Weeks)

- **Activities:**
 - User Acceptance Testing (UAT) by key business users from Procurement, Finance, and Legal.
 - Performance testing to ensure system responsiveness and scalability.
 - Security testing (vulnerability assessment, penetration testing).

- Bug fixing and re-testing.
- Data migration dry runs.
- **Timeline:** Month 7
- **Responsible Team:** QA Team, Business Users, IT Security, Project Manager.
- **Deliverables:** UAT Test Cases & Results, Performance Test Report, Security Test Report, Resolved Bug Log.
- **Success Criteria:** All critical bugs resolved; UAT sign-off by business users.

PHASE 4: Training (Estimated: 2-3 Weeks)

- **Activities:**
 - Develop training materials for internal staff (Procurement, Finance, IT) and suppliers.
 - Conduct train-the-trainer sessions.
 - Deliver end-user training sessions for all relevant Chamith Holdings staff.
 - Develop supplier training guides and FAQs for the Supplier Portal.
- **Timeline:** Month 8
- **Responsible Team:** Training Lead, Project Team, Procurement.
- **Deliverables:** Training Manuals, User Guides, Conducted Training Sessions, Supplier FAQs.
- **Success Criteria:** All key users trained and proficient in system usage.

PHASE 5: Go-Live & Migration (Estimated: 1-2 Weeks)

- **Activities:**
 - Final data migration of approved supplier data.
 - System deployment to production environment.
 - Go-live announcement and communication to suppliers.
 - Post-go-live support and monitoring.
- **Timeline:** Month 9
- **Responsible Team:** IT Operations, Project Team, Procurement.
- **Deliverables:** Live SRS, Migrated Data, Go-Live Communication.
- **Success Criteria:** System live and accessible; initial supplier registrations processed successfully.

POST GO-LIVE: Support and Stabilization (Ongoing)

- **Activities:** Ongoing technical support, system maintenance, performance monitoring, continuous improvement based on user feedback, and future enhancements.

12.4 Project Timeline (Gantt Chart)

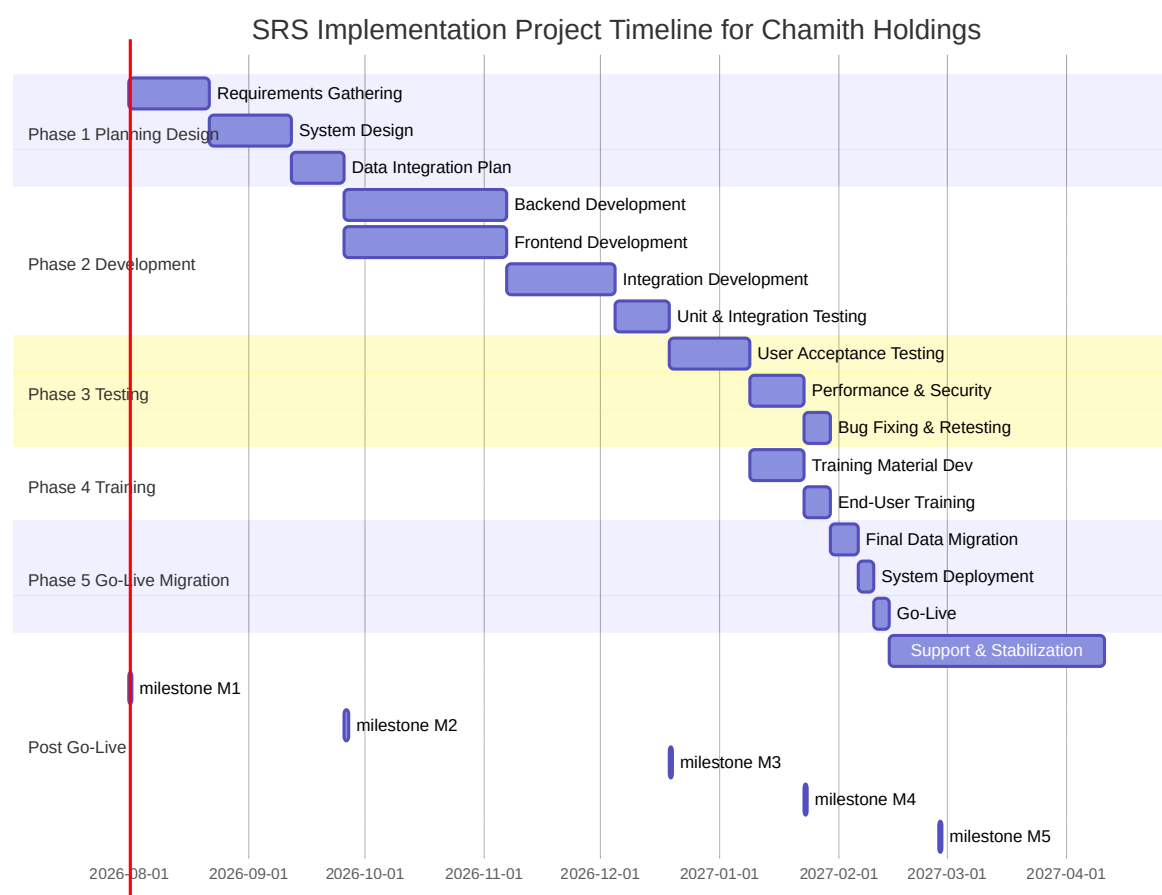


Figure 12.4.1: Project Timeline (Gantt Chart) for SRS Implementation

12.5 Resource Plan

Implementing the SRS will require a dedicated team with diverse skill sets. The following resources are anticipated:

Resource Role	Internal/External	Time Commitment	Duration (Months)	Key Responsibilities
Project Sponsor	Internal (CEO/Board)	5%	9	Strategic oversight, budget approval, issue resolution.
Project Manager	External/Internal	100%	9	Overall project planning, execution, and control.
Business Analyst	Internal/External	75%	4	Requirements gathering, process mapping.
Solution Architect	External	50%	3	System design, technology stack definition.
Lead Developer	External	100%	6	Technical leadership, core development.
Developers (2)	External	100%	6	Software development, unit testing.
QA Engineer	External	100%	3	Test plan execution, bug reporting.
Procurement Lead	Internal	25%	9	Business process owner, UAT, training coordination.
Finance Lead	Internal	15%	9	Financial requirements, integration, UAT.
Legal/Compliance Lead	Internal	10%	9	Regulatory compliance, legal review.
IT Infrastructure Lead	Internal	20%	9	Cloud setup, security, network configuration.

12.6 RACI Matrix

A RACI matrix will clearly define roles and responsibilities for key project activities, ensuring accountability and preventing overlaps or gaps.

Activity	Responsible ®	Accountable (A)	Consulted ©	Informed (I)
Project Planning	Project Manager	Project Sponsor	BA, Leads	All Team
Requirements Definition	Business Analyst	Project Manager	Procurement, Finance, Legal	Dev Team
System Design	Solution Architect	Project Manager	BA, Dev Team	All Team
Software Development	Developers	Lead Developer	BA, QA	PM
Integration Development	Developers	Lead Developer	IT Infra, Finance	PM
User Acceptance Testing (UAT)	Procurement Lead	Project Manager	QA, Finance, Legal	All Team
Data Migration	IT Infra Lead	Project Manager	BA, Procurement	Finance
Training Delivery	Training Lead	Project Manager	Procurement	All Users
Go-Live Decision	Project Sponsor	Project Manager	All Leads	All Team
Post-Go-Live Support	IT Infra Lead	Project Manager	Dev Team	All Users

12.7 Change Management Plan

Implementing a new SRS will involve significant changes for both internal staff and external suppliers. A structured change management plan is essential to ensure smooth adoption and minimize resistance.

- **Stakeholder Communication Plan:**
 - **Objective:** To keep all stakeholders informed and engaged throughout the project lifecycle.
 - **Activities:** Regular project updates (newsletters, emails), town hall meetings, dedicated communication channels (e.g., project intranet page).
 - **Key Messages:** Benefits of the new system, impact on roles, training availability, support channels.
- **Training Plan Overview:**
 - **Objective:** To equip all users with the necessary skills to effectively use the new SRS.
 - **Activities:** Role-specific training sessions, hands-on workshops, online tutorials, user manuals, and quick reference guides.
 - **Target Audience:** Procurement staff, Finance team, IT support, and suppliers.
- **Resistance Management Strategy:**
 - **Identify Resistance:** Proactively identify potential sources of resistance through surveys, feedback sessions, and direct communication.
 - **Address Concerns:** Openly address concerns, provide clear rationale for changes, and highlight personal and organizational benefits.

- **Champions Network:** Establish a network of project champions within each department to advocate for the new system and support their colleagues.
- **Supplier Adoption Strategy:**
 - **Clear Communication:** Provide clear, concise, and multi-lingual instructions for suppliers on how to register and use the new portal.
 - **Dedicated Support:** Offer a dedicated helpdesk or contact point for supplier queries during the transition phase.
 - **Phased Rollout:** Consider a phased rollout for suppliers, starting with a pilot group before a full launch.
 - **Incentives:** Explore potential incentives for early adoption or successful completion of registration.
- **Success Measurement for Change:**
 - **User Adoption Rates:** Track the percentage of internal staff and suppliers actively using the new system.
 - **Satisfaction Surveys:** Conduct surveys to gauge user satisfaction with the new system and the change process.
 - **Feedback Mechanisms:** Implement continuous feedback loops to identify areas for improvement and address issues promptly.

SECTION 13: FINANCIAL PROPOSAL

13.1 Complete Cost Breakdown

The financial investment for implementing the Supplier Registration System (SRS) for Chamith Holdings is a critical consideration. This section provides a detailed breakdown of the one-time and recurring costs, offering transparency and enabling informed decision-making. All figures are indicative and subject to detailed vendor quotations and internal resource allocation.

Section A: System Development/Licensing

Item	Description	Estimated One-Time Cost (LKR)
Software Development (Custom)	Design, coding, and testing of custom SRS platform.	3,000,000 - 5,000,000
Cloud Infrastructure Setup	Initial setup of AWS/GCP resources (servers, database, storage).	200,000 - 400,000
Third-Party API Licenses (Optional)	For advanced features like OCR, external data verification.	100,000 - 200,000
Sub-Total (A)		3,300,000 - 5,600,000

Section B: Implementation Costs

Item	Description	Estimated One-Time Cost (LKR)
Project Management	External/Internal project management fees.	500,000 - 800,000
Business Analysis & Consulting	Requirements gathering, process re-engineering.	300,000 - 600,000
Data Migration Services	Cleansing, mapping, and migrating existing supplier data.	200,000 - 400,000
Integration Services	Connecting SRS with existing ERP/Accounting system.	400,000 - 700,000
Quality Assurance & Testing	UAT support, performance, and security testing.	300,000 - 500,000
Sub-Total (B)		1,700,000 - 3,000,000

Section C: Training Costs

Item	Description	Estimated One-Time Cost (LKR)
Internal Staff Training	Workshops, materials for Procurement, Finance, IT.	150,000 - 250,000
Supplier Training Materials	Development of guides, FAQs for supplier portal.	50,000 - 100,000
Sub-Total ©		200,000 - 350,000

Section D: Infrastructure Costs

Item	Description	Estimated One-Time Cost (LKR)
Hardware Upgrades (if any)	Minor upgrades for internal workstations (minimal for cloud).	50,000 - 100,000
Network Enhancements (if any)	Ensuring robust internet connectivity.	50,000 - 100,000
Sub-Total (D)		100,000 - 200,000

Section E: Legal and Compliance Costs

Item	Description	Estimated One-Time Cost (LKR)
Legal Review of Terms & Conditions	Review of supplier agreements for SRS.	100,000 - 200,000
Compliance Advisory	Expert advice on specific regulatory interpretations.	50,000 - 100,000
Sub-Total (E)		150,000 - 300,000

Section F: Contingency (15% of Total Estimated Cost)

Item	Description	Estimated One-Time Cost (LKR)
Contingency Fund	For unforeseen expenses and scope changes.	817,500 - 1,372,500
Sub-Total (F)		817,500 - 1,372,500

TOTAL ONE-TIME INVESTMENT (LKR)

Estimated Total One-Time Investment: LKR 6,267,500 - LKR 10,822,500

13.2 Annual Recurring Costs

Item	Description	Estimated Annual Cost (LKR)
Cloud Infrastructure (AWS/GCP)	Hosting, database, storage, bandwidth.	300,000 - 600,000
Software Maintenance & Support	Bug fixes, security patches, minor enhancements.	600,000 - 1,000,000
Third-Party API Subscriptions	Recurring fees for OCR, external verification services.	100,000 - 200,000
Security & Monitoring Tools	Licenses for security software, monitoring services.	50,000 - 100,000
Sub-Total (Annual)		1,050,000 - 1,900,000

13.3 5-Year Total Cost of Ownership (TCO)

Year	One-Time Costs (LKR)	Annual Recurring Costs (LKR)	Total Annual Cost (LKR)	Cumulative Cost (LKR)
Year 1	6,267,500 - 10,822,500	1,050,000 - 1,900,000	7,317,500 - 12,722,500	7,317,500 - 12,722,500
Year 2	0	1,050,000 - 1,900,000	1,050,000 - 1,900,000	8,367,500 - 14,622,500
Year 3	0	1,050,000 - 1,900,000	1,050,000 - 1,900,000	9,417,500 - 16,522,500
Year 4	0	1,050,000 - 1,900,000	1,050,000 - 1,900,000	10,467,500 - 18,422,500
Year 5	0	1,050,000 - 1,900,000	1,050,000 - 1,900,000	11,517,500 - 20,322,500

Estimated 5-Year Cumulative Cost of Ownership: LKR 11,517,500 - LKR 20,322,500

13.4 Benefits Quantification

The implementation of the SRS will yield significant quantifiable benefits for Chamith Holdings, primarily through cost savings, risk mitigation, and efficiency gains.

- **Reduced Administrative Overhead:** Automation of manual tasks (data entry, document chasing, verification) will free up procurement staff time, allowing them to focus on strategic activities. This translates to a productivity gain equivalent to [e.g., 0.5 - 1.0] full-time employee (FTE) in the procurement department.
 - **Quantified Benefit:** LKR 600,000 - 1,200,000 per annum (based on average staff salary).
- **Faster Supplier Onboarding:** Reducing the onboarding cycle from 10-22 days to 3-8 days will improve operational agility and reduce delays in project initiation.
 - **Quantified Benefit:** LKR 1,000,000 - 2,000,000 per annum (reduced opportunity costs, faster project execution).
- **Mitigated Compliance Penalties:** Automated tracking and alerts for document expiry and regulatory changes will significantly reduce the risk of fines and legal costs associated with non-compliance.
 - **Quantified Benefit:** LKR 500,000 - 1,500,000 per annum (avoided penalties and legal fees).
- **Improved Supplier Performance:** Better visibility and management of supplier performance will lead to reduced costs associated with poor quality, late deliveries, and operational disruptions.
 - **Quantified Benefit:** LKR 800,000 - 1,500,000 per annum (reduced rework, expedited shipping, improved service quality).
- **Enhanced Data Accuracy & Reduced Errors:** Centralized data management and automated validation will minimize errors in supplier data, leading to fewer payment discrepancies and reconciliation efforts.
 - **Quantified Benefit:** LKR 300,000 - 600,000 per annum (reduced reconciliation time, avoided incorrect payments).

Estimated Total Annual Quantified Benefits: LKR 3,200,000 - LKR 6,800,000

13.5 Cost-Benefit Analysis

Side-by-Side Cost vs. Benefit (Year 1)

Item	Low Estimate (LKR)	High Estimate (LKR)
Total Annual Cost (Year 1)	7,317,500	12,722,500
Total Annual Benefits (Year 1)	3,200,000	6,800,000
Net Benefit (Year 1)	-4,117,500	-5,922,500

Note: Year 1 typically shows a negative net benefit due to significant one-time implementation costs.

Net Benefit Calculation (Over 5 Years)

Year	Total Annual Benefits (LKR)	Total Annual Cost (LKR)	Net Benefit (LKR)
Year 1	3,200,000 - 6,800,000	7,317,500 - 12,722,500	-4,117,500 - -5,922,500
Year 2	3,200,000 - 6,800,000	1,050,000 - 1,900,000	2,150,000 - 4,900,000
Year 3	3,200,000 - 6,800,000	1,050,000 - 1,900,000	2,150,000 - 4,900,000
Year 4	3,200,000 - 6,800,000	1,050,000 - 1,900,000	2,150,000 - 4,900,000
Year 5	3,200,000 - 6,800,000	1,050,000 - 1,900,000	2,150,000 - 4,900,000
Cumulative Net Benefit (5 Years)	16,000,000 - 34,000,000	11,517,500 - 20,322,500	4,482,500 - 13,677,500

5-Year Benefit Projection Table

Benefit Category	Year 1 (LKR)	Year 2 (LKR)	Year 3 (LKR)	Year 4 (LKR)	Year 5 (LKR)	5-Year Total (LKR)
Reduced Admin Overhead	600,000	900,000	1,000,000	1,100,000	1,200,000	4,800,000
Faster Onboarding	1,000,000	1,500,000	1,700,000	1,800,000	2,000,000	8,000,000
Mitigated Compliance Penalties	500,000	700,000	1,000,000	1,200,000	1,500,000	4,900,000
Improved Supplier Performance	800,000	1,000,000	1,200,000	1,300,000	1,500,000	5,800,000
Enhanced Data Accuracy	300,000	400,000	500,000	550,000	600,000	2,150,000
Total Annual Benefits (Low)	3,200,000	4,500,000	5,400,000	5,950,000	6,800,000	25,850,000

13.6 ROI Calculation

Payback Period Calculation

Using the mid-point estimates for costs and benefits:

- **Total One-Time Investment:** $(6,267,500 + 10,822,500) / 2 = \text{LKR } 8,545,000$
- **Average Annual Net Benefit (after Year 1):** $(2,150,000 + 4,900,000) / 2 = \text{LKR } 3,525,000$

Payback Period: $(\text{Total One-Time Investment} - \text{Year 1 Net Benefit}) / \text{Average Annual Net Benefit (post Year 1)} = (8,545,000 - (-5,020,000)) / 3,525,000 = 13,565,000 / 3,525,000 \approx \mathbf{3.85 \text{ years}}$

ROI Percentage (Over 3 Years)

- **Cumulative Benefits (3 Years):** $(3,200,000 + 4,500,000 + 5,400,000) = \text{LKR } 13,100,000$ (Low Estimate)
- **Cumulative Costs (3 Years):** $(7,317,500 + 1,050,000 + 1,050,000) = \text{LKR } 9,417,500$ (Low Estimate)

ROI = (Total Benefits - Total Costs) / Total Costs * 100%

- **Low Estimate ROI (3 Years):** $(13,100,000 - 9,417,500) / 9,417,500 * 100\% = \mathbf{39.1\%}$
- **High Estimate ROI (3 Years):** $(6,800,000 * 3 - 16,522,500) / 16,522,500 * 100\% = (20,400,000 - 16,522,500) / 16,522,500 * 100\% = \mathbf{23.4\%}$

Note: The ROI calculation is sensitive to the accuracy of benefit quantification. A more detailed financial model would refine these figures.

13.7 Budget Phasing

Phase	Estimated Budget Allocation (LKR)	Required By (Month)
Phase 1: Planning & Design	1,000,000 - 1,500,000	Month 1-2
Phase 2: Development	3,500,000 - 6,000,000	Month 3-6
Phase 3: Testing	500,000 - 800,000	Month 7
Phase 4: Training	200,000 - 350,000	Month 8
Phase 5: Go-Live & Migration	500,000 - 1,000,000	Month 9
Contingency	817,500 - 1,372,500	Throughout

Monthly Cash Flow Requirement

Detailed monthly cash flow will be developed during the planning phase, aligning with vendor payment schedules and internal resource allocation. The highest cash outflow is expected during the development phase.

13.8 Financial Risk and Sensitivity

What if costs are 20% higher?

If the total one-time investment increases by 20%, the new total would be LKR 7,521,000 - LKR 12,987,000. This would extend the payback period and reduce the overall ROI, emphasizing the need for stringent cost control and project

management.

What if benefits are 20% lower?

If the annual benefits are 20% lower, the annual net benefit (post Year 1) would be LKR 1,720,000 - LKR 5,440,000. This would significantly impact the payback period and ROI, highlighting the importance of accurate benefit realization tracking.

Break-even Analysis

The break-even point, where cumulative benefits equal cumulative costs, is estimated to occur around **Year 3.85**. This indicates that the initial investment will be recouped within approximately four years, after which the system will generate positive net benefits for Chamith Holdings. This analysis underscores the long-term financial viability and strategic value of the SRS project.

SECTION 14: RISK ASSESSMENT

14.1 Risk Management Approach

Chamith Holdings will adopt a proactive and systematic approach to identify, assess, mitigate, and monitor risks associated with the Supplier Registration System (SRS) project and its ongoing operation. The risk management process will be integrated into the overall project management framework, ensuring that risks are continuously managed throughout the project lifecycle and beyond.

- **Risk Methodology:** A qualitative risk assessment methodology will be employed, focusing on identifying potential risks, analyzing their probability and impact, and developing appropriate response strategies.
- **Risk Scoring Approach:** Risks will be scored based on a combination of their likelihood (Probability: High, Medium, Low) and their potential consequence (Impact: High, Medium, Low). A risk matrix will be used to determine the overall risk rating.
- **Risk Appetite Statement:** Chamith Holdings has a moderate risk appetite for operational improvements but a low risk appetite for compliance and financial risks. This will guide the prioritization of mitigation strategies.

14.2 Complete Risk Register

Technical Risks

Risk ID	Risk Description	Probability	Impact	Risk Rating	Mitigation Strategy	Contingency Plan	Risk Owner
T-01	Integration failure with existing ERP/Accounting system.	Medium	High	High	Thorough API documentation review; phased integration testing; use of middleware/integration platform.	Manual data synchronization for critical data; temporary workarounds; engage ERP vendor for support.	IT Lead
T-02	Data migration errors leading to data loss or corruption.	Medium	High	High	Comprehensive data cleansing and validation; multiple dry runs; robust backup and rollback plan.	Revert to pre-migration data; manual data correction for critical errors.	IT Lead
T-03	System performance issues (slow response times, downtime).	Medium	Medium	Medium	Load testing; optimize database queries; scale cloud resources as needed; implement caching mechanisms.	Implement temporary manual processes; communicate system status to users and suppliers.	IT Lead
T-04	Security vulnerabilities leading to data breach.	Medium	High	High	Regular security audits (penetration testing, vulnerability scans); implement strong access controls; data encryption.	Isolate affected systems; notify affected parties; engage cybersecurity experts; activate incident response plan.	IT Lead
T-05	Technology obsolescence or vendor lock-in.	Low	Medium	Medium	Use open standards and widely adopted technologies; modular architecture; clear exit strategy with vendor.	Migrate to alternative technology/vendor; develop in-house solution if necessary.	IT Lead
T-06	Inadequate system documentation and knowledge transfer.	Medium	Medium	Medium	Comprehensive documentation throughout development; dedicated knowledge transfer sessions; cross-training of internal IT staff.	Engage external support for system maintenance; reverse engineer undocumented components.	PM

Project Risks

Risk ID	Risk Description	Probability	Impact	Risk Rating	Mitigation Strategy	Contingency Plan	Risk Owner
P-01	Project budget overrun.	Medium	High	High	Detailed cost estimation; strict budget monitoring; contingency fund allocation; regular financial reviews.	Prioritize critical features; seek additional funding; renegotiate vendor contracts.	PM
P-02	Project timeline delays.	Medium	High	High	Realistic timeline planning; agile development sprints; proactive risk identification; clear communication with stakeholders.	Re-prioritize tasks; allocate additional resources; adjust project scope; communicate revised timelines.	PM
P-03	Scope creep or uncontrolled changes.	Medium	Medium	Medium	Formal change request process; clear scope definition; regular stakeholder reviews.	Defer non-critical features to future phases; increase budget/timeline if changes are approved.	PM
P-04	Lack of stakeholder engagement or buy-in.	Medium	Medium	Medium	Regular communication; involve key stakeholders in decision-making; demonstrate early wins; conduct workshops.	Escalate to Project Sponsor; conduct one-on-one meetings with resistant stakeholders.	PM
P-05	Resource unavailability or skill gaps.	Medium	Medium	Medium	Early resource planning; cross-training; engage external consultants/contractors; talent acquisition.	Reallocate tasks; adjust project schedule; outsource specific tasks.	PM
P-06	Vendor performance issues (if external vendor).	Medium	High	High	Clear contract terms and SLAs; regular performance reviews; strong vendor management; penalty clauses.	Engage alternative vendors; escalate issues to senior management; initiate legal action if necessary.	PM

Change Management Risks

Risk ID	Risk Description	Probability	Impact	Risk Rating	Mitigation Strategy	Contingency Plan	Risk Owner
C-01	User resistance to new system (internal staff).	Medium	Medium	Medium	Comprehensive change management plan; early communication of benefits; extensive training; user champions program.	Provide one-on-one coaching; revise training materials; escalate persistent resistance to management.	Procurement Lead
C-02	Low supplier adoption of the new portal.	Medium	Medium	Medium	Clear communication to suppliers; easy-to-use portal design; dedicated supplier support; incentives for early adoption.	Extend manual submission options temporarily; conduct targeted outreach to non-adopting suppliers.	Procurement Lead
C-03	Inadequate training leading to errors and frustration.	Medium	Medium	Medium	Role-specific training; hands-on workshops; user manuals and quick guides; post-training support.	Provide additional training sessions; develop online tutorials; assign super-users for support.	Procurement Lead
C-04	Negative impact on supplier relationships during transition.	Medium	Medium	Medium	Transparent communication about changes; dedicated support channel for suppliers; phased rollout for critical suppliers.	Proactive outreach to key suppliers; offer personalized assistance; temporary waivers for certain requirements.	Procurement Lead

Compliance/Legal Risks

Risk ID	Risk Description	Probability	Impact	Risk Rating	Mitigation Strategy	Contingency Plan	Risk Owner
L-01	Non-compliance with Sri Lankan tax regulations (VAT, TIN).	Medium	High	High	Automated validation of tax IDs; regular updates to system for regulatory changes; legal review of compliance features.	Engage tax consultants; pay penalties; manual verification of tax documents.	Legal/Compliance Lead
L-02	Non-compliance with Companies Act requirements.	Medium	High	High	Automated verification of BR status; regular legal review of corporate governance features; beneficial ownership tracking.	Manual verification with DRC; legal advice on non-compliant suppliers.	Legal/Compliance Lead
L-03	Data privacy breaches or non-compliance with data protection laws.	Medium	High	High	Implement robust data security measures (encryption, access controls); regular security audits; adhere to best practices.	Isolate breach; notify authorities/affected parties; engage legal counsel; enhance security protocols.	IT Lead
L-04	Changes in Sri Lankan regulatory landscape impacting SRS.	Medium	Medium	Medium	Continuous monitoring of regulatory updates; flexible system architecture	Manual workarounds for new regulations; system updates to incorporate changes.	Legal/Compliance Lead

Risk ID	Risk Description	Probability	Impact	Risk Rating	Mitigation Strategy	Contingency Plan	Risk Owner
					for quick adaptation; engage legal advisory.		

Sri Lanka Specific Risks

Risk ID	Risk Description	Probability	Impact	Risk Rating	Mitigation Strategy	Contingency Plan	Risk Owner
SL-01	Internet connectivity issues affecting system access.	Medium	Medium	Medium	Cloud hosting in resilient data centers; offline capabilities for certain functions; robust retry mechanisms for data synchronization.	Provide alternative access methods (e.g., VPN); temporary manual processes; communicate outages to users.	IT Lead
SL-02	Power outages impacting user productivity.	Medium	Medium	Medium	Cloud-based system reduces local impact; encourage use of mobile data/hotspots during outages; flexible working arrangements.	Extend deadlines for tasks; communicate with suppliers about potential delays.	PM
SL-03	Economic instability impacting supplier viability.	Medium	High	High	Enhanced financial due diligence; diversified supplier base; continuous monitoring of supplier financial health.	Activate contingency suppliers; renegotiate terms; seek alternative sourcing.	Procurement Lead
SL-04	Local language barriers for suppliers.	Medium	Medium	Medium	Multi-language support for portal (Sinhala, Tamil, English); provide multi-lingual support documentation and helpdesk.	Provide manual assistance in local languages; engage translators for critical communications.	Procurement Lead

Financial Risks

Risk ID	Risk Description	Probability	Impact	Risk Rating	Mitigation Strategy	Contingency Plan	Risk Owner
F-01	Underestimation of project costs.	Medium	High	High	Detailed cost breakdown; obtain multiple vendor quotes; allocate sufficient contingency budget (15%).	Seek additional funding; descope non-critical features; renegotiate vendor contracts.	PM
F-02	Overestimation of project benefits/ROI.	Medium	Medium	Medium	Conservative benefit quantification; validate assumptions with business units; track actual benefits post-implementation.	Re-evaluate project viability; adjust expectations; identify additional benefit streams.	PM
F-03	Unforeseen economic downturn impacting budget.	Low	High	Medium	Maintain healthy cash reserves; flexible project phasing; prioritize essential features.	Pause non-critical project activities; seek external financing; adjust project scope.	Project Sponsor

14.3 Risk Heat Map

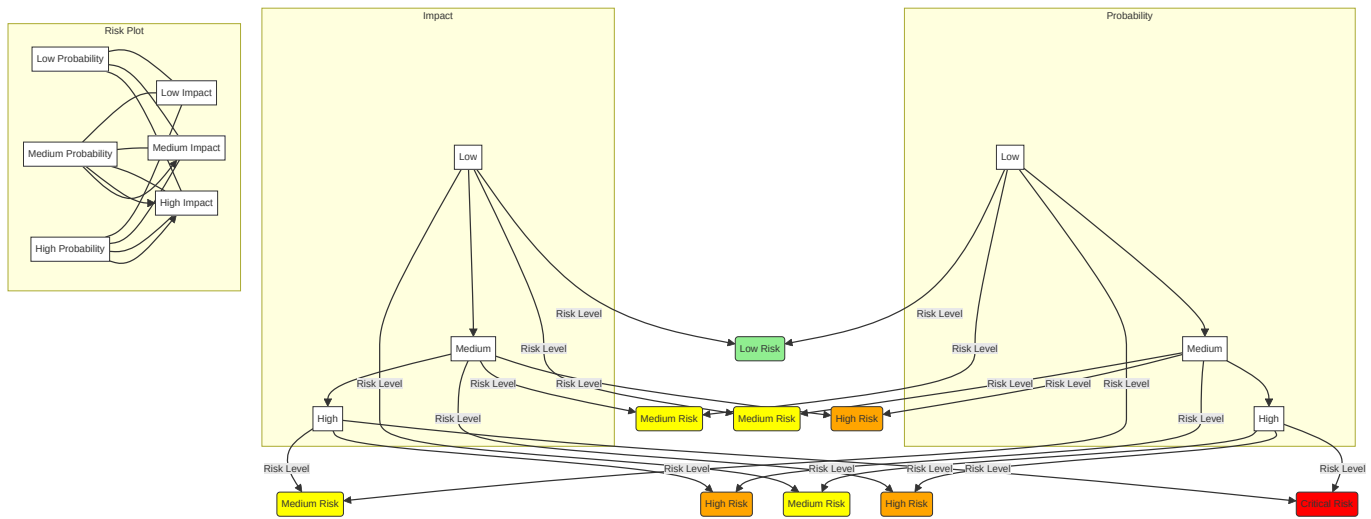


Figure 14.3.1: Risk Heat Map (Illustrative Plot of Key Risks)

Color Coding Explanation:

- **Green (Low Risk):** Risks with low probability and low impact. Managed through routine procedures.

- **Yellow (Medium Risk):** Risks with medium probability or medium impact. Require active monitoring and defined mitigation strategies.
- **Orange (High Risk):** Risks with high probability or high impact. Require dedicated management attention and robust mitigation plans.
- **Red (Critical Risk):** Risks with high probability and high impact. Require immediate attention, senior management oversight, and comprehensive contingency plans.

14.4 Top 5 Critical Risks

Based on the risk assessment, the following are the top 5 critical risks requiring immediate and focused attention:

1. Technical Risk (T-04): Security vulnerabilities leading to data breach.

- **Detailed Treatment Plan:** Implement a comprehensive cybersecurity framework including regular penetration testing, vulnerability assessments, multi-factor authentication, data encryption at rest and in transit, and a robust incident response plan. Engage external cybersecurity experts for independent audits.
- **Specific Actions and Timelines:**
 - Month 2: Conduct initial security audit and penetration test.
 - Month 3-6: Implement all critical security recommendations.
 - Ongoing: Quarterly vulnerability scans; annual penetration tests.

2. Compliance Risk (L-01): Non-compliance with Sri Lankan tax regulations (VAT, TIN).

- **Detailed Treatment Plan:** Integrate automated validation mechanisms for VAT and TIN with available government APIs (if feasible). Regularly consult with tax advisors to stay updated on regulatory changes. Implement strict internal controls for document verification.
- **Specific Actions and Timelines:**
 - Month 1-2: Legal review of all tax-related compliance features.
 - Month 3-6: Develop and test automated validation features.
 - Ongoing: Quarterly review of tax regulations; annual training for procurement and finance staff.

3. Compliance Risk (L-02): Non-compliance with Companies Act requirements.

- **Detailed Treatment Plan:** Ensure the SRS captures and verifies all mandatory company registration details. Monitor updates to the Companies Act, especially regarding beneficial ownership. Implement workflows for periodic re-verification of company status.
- **Specific Actions and Timelines:**
 - Month 1-2: Legal review of all corporate governance features.
 - Month 3-6: Implement features for periodic re-verification.
 - Ongoing: Annual review of Companies Act updates; periodic checks with DRC.

4. Sri Lanka Specific Risk (SL-03): Economic instability impacting supplier viability.

- **Detailed Treatment Plan:** Implement enhanced financial due diligence for all new and existing suppliers. Diversify the supplier base where possible to reduce reliance on single sources. Continuously monitor economic indicators and their potential impact on key suppliers.
- **Specific Actions and Timelines:**
 - Month 1-2: Define financial health assessment criteria for suppliers.
 - Month 3-6: Integrate financial assessment into the SRS workflow.
 - Ongoing: Quarterly review of critical supplier financial health; annual market scan for alternative suppliers.

5. Financial Risk (F-01): Underestimation of project costs.

- **Detailed Treatment Plan:** Maintain a robust contingency budget (15% of total project cost). Implement strict cost tracking and reporting mechanisms. Conduct regular budget reviews with the Project Steering Committee. Negotiate fixed-price contracts where feasible.
- **Specific Actions and Timelines:**
 - Ongoing: Weekly budget tracking by PM; monthly budget review with Steering Committee.
 - As needed: Re-forecast costs based on actuals and remaining work.

14.5 Risk Monitoring Plan

- **How risks will be monitored:** Risks will be continuously monitored through regular project meetings, dedicated risk review sessions, and automated alerts from the SRS (e.g., for compliance-related risks). The risk register will be a living document, updated as new risks emerge or existing risks change.
- **Frequency of risk reviews:**
 - **Weekly:** Project Team meetings will include a standing agenda item for risk review and updates.
 - **Monthly:** Project Steering Committee meetings will review the overall risk status, critical risks, and mitigation effectiveness.
 - **Quarterly:** A comprehensive risk assessment workshop will be conducted to re-evaluate the risk landscape and update the risk register.
- **Risk escalation process:** Any high-impact or critical risk identified will be immediately escalated by the Risk Owner to the Project Manager, who will then inform the Project Steering Committee for urgent decision-making and resource allocation.
- **Risk reporting structure:** Risk status and key metrics will be reported through project dashboards and formal reports to the Project Steering Committee and relevant stakeholders. This ensures transparency and accountability in risk management.

SECTION 15: BENEFITS & VALUE PROPOSITION

15.1 Organizational Benefits

The implementation of the Supplier Registration System (SRS) will deliver a wide array of benefits across various stakeholders within Chamith Holdings and its external ecosystem.

- **For the Company (Chamith Holdings):**
 - **Enhanced Operational Efficiency:** Streamlined processes, reduced manual effort, and faster supplier onboarding will lead to significant time and cost savings.
 - **Improved Compliance & Risk Mitigation:** Automated tracking of regulatory requirements and document validity will drastically reduce the risk of non-compliance, fines, and legal issues.
 - **Strategic Decision-Making:** Access to centralized, accurate, and real-time supplier data will enable data-driven procurement decisions, leading to better sourcing outcomes.
 - **Scalability & Growth:** The digital platform will support future business growth without proportional increases in administrative overhead, allowing for expansion of the supplier base and new service offerings.
 - **Cost Savings:** Direct savings from reduced administrative tasks, and indirect savings from improved supplier performance and mitigated risks.

- **Increased Transparency:** A clear audit trail and centralized data will enhance transparency in procurement operations.
- **For the Procurement Team:**
 - **Reduced Administrative Burden:** Automation of repetitive tasks frees up time for strategic activities like negotiation, market analysis, and supplier development.
 - **Improved Productivity:** Faster processing of supplier applications and inquiries.
 - **Better Supplier Relationships:** Ability to focus on building stronger, more collaborative relationships with key suppliers.
 - **Enhanced Job Satisfaction:** Less time spent on mundane tasks, more on value-added activities.
- **For End Users / Other Departments (e.g., Finance, Operations):**
 - **Accurate Vendor Data:** Finance receives clean, verified supplier data for timely and accurate payments.
 - **Reduced Operational Disruptions:** Reliable and compliant suppliers lead to smoother operations and fewer supply chain interruptions.
 - **Faster Access to New Suppliers:** Operations can quickly engage new suppliers as needed for projects.
 - **Improved Collaboration:** Centralized platform facilitates easier information sharing about suppliers.
- **For Suppliers:**
 - **Simplified Registration Process:** Easy-to-use online portal for submission and updates.
 - **Faster Onboarding:** Quicker approval times mean suppliers can start doing business with Chamith Holdings sooner.
 - **Transparency:** Ability to track application status and receive automated notifications.
 - **Improved Communication:** Centralized communication channel for queries and updates.
 - **Fair & Objective Evaluation:** Performance management based on clear KPIs.
- **For Management and Board:**
 - **Strategic Oversight:** Real-time dashboards provide a clear overview of procurement health, compliance, and risks.
 - **Enhanced Governance:** Assurance that procurement processes are robust, compliant, and transparent.
 - **Improved ROI:** Demonstrable return on investment through cost savings and efficiency gains.
 - **Reputation Protection:** Reduced risk of compliance breaches and associated reputational damage.

15.2 Quantified Benefits Summary Table

Benefit Category	Year 1 (LKR)	Year 2 (LKR)	Year 3 (LKR)	3-Year Total (LKR)
Reduced Admin Overhead	600,000	900,000	1,000,000	2,500,000
Faster Onboarding	1,000,000	1,500,000	1,700,000	4,200,000
Mitigated Compliance Penalties	500,000	700,000	1,000,000	2,200,000
Improved Supplier Performance	800,000	1,000,000	1,200,000	3,000,000
Enhanced Data Accuracy	300,000	400,000	500,000	1,200,000
Total Quantified Benefits	3,200,000	4,500,000	5,400,000	13,100,000

Note: These figures represent the lower end of the estimated annual benefits, providing a conservative projection.

15.3 Non-Financial Benefits

Beyond the quantifiable financial gains, the SRS will bring significant non-financial benefits to Chamith Holdings:

- **Reputation and Image Improvement:** Demonstrating a commitment to digital transformation, transparency, and ethical procurement enhances Chamith Holdings' reputation as a modern, responsible, and efficient logistics provider.
- **Staff Morale Improvement:** Reducing tedious, repetitive tasks for the procurement team can lead to higher job satisfaction, reduced stress, and better retention of skilled employees.
- **Supplier Relationship Improvement:** A streamlined, fair, and transparent registration and management process fosters trust and strengthens relationships with suppliers, encouraging better service and collaboration.
- **Risk Profile Improvement:** Proactive identification and mitigation of compliance, operational, and financial risks contribute to a more stable and secure business environment.
- **Enhanced Data Governance:** Establishing clear ownership, quality standards, and access controls for supplier data improves overall data governance within the organization.

15.4 Strategic Benefits

The SRS is not merely an operational tool; it is a strategic enabler for Chamith Holdings:

- **Digital Transformation Alignment:** Positions Chamith Holdings as a leader in adopting digital solutions within the Sri Lankan logistics sector, aligning with national digital transformation goals.
- **Competitive Advantage:** Provides a competitive edge by enabling faster response to market demands, better supplier selection, and optimized supply chain operations compared to competitors relying on manual systems.
- **Regulatory Readiness:** Ensures the company is well-prepared for evolving regulatory requirements, including potential future data protection laws or enhanced transparency mandates in Sri Lanka.
- **Innovation Catalyst:** A robust digital platform can serve as a foundation for integrating future technologies such as AI-driven analytics, blockchain for traceability, or IoT for real-time logistics monitoring.

15.5 Local Development Benefits

Chamith Holdings, as a Sri Lankan company, can leverage the SRS to contribute to local economic development:

- **Sri Lankan Supplier Development:** By simplifying the registration process and providing clear guidelines, the SRS can encourage more local SMEs to register and participate in Chamith Holdings' supply chain, fostering their growth.
- **SME Support Capability:** The system can be configured to provide tailored support or guidance for smaller local businesses, helping them meet compliance requirements and integrate into larger supply chains.
- **Local Economy Contribution:** Increased engagement with local suppliers, facilitated by an efficient SRS, directly contributes to job creation and economic activity within Sri Lanka.
- **Digital Literacy Promotion:** Encouraging suppliers to use a digital platform contributes to improving digital literacy and adoption of technology within the broader Sri Lankan business community.

SECTION 16: SUCCESS METRICS & KPIs

16.1 System Performance KPIs

To ensure the Supplier Registration System (SRS) is functioning optimally and providing a reliable service, the following technical performance metrics will be monitored:

- **System Uptime:** Target of 99.9% availability during business hours, ensuring the portal is accessible when needed.
- **Response Time:** Target average page load time of under 3 seconds to provide a smooth user experience for both suppliers and internal staff.
- **User Satisfaction (System):** Target a score of 4 out of 5 (or 80%) on user satisfaction surveys regarding system usability and reliability.
- **Issue Resolution Time:** Target resolution of critical system issues within 4 hours and non-critical issues within 24-48 hours.

16.2 Process Performance KPIs

These KPIs will measure the efficiency gains achieved by transitioning from manual processes to the digital SRS.

KPI Name	Description	Baseline (Current)	Target (6 Months)	Target (12 Months)	Measurement Method	Reporting Frequency
Average Onboarding Time	Time from initial supplier contact to final approval.	10-22 days	7 days	4 days	System timestamp data	Monthly
Document Completeness Rate	Percentage of applications submitted with all required documents on the first attempt.	~40% (Est.)	75%	90%	System validation logs	Monthly
Supplier Adoption Rate	Percentage of active suppliers successfully migrated to and using the new portal.	0%	60%	95%	System user logs	Monthly
Renewal Compliance Rate	Percentage of suppliers completing annual profile renewal on time.	N/A (Manual)	80%	95%	System renewal tracking	Quarterly
Internal Processing Time	Time taken by procurement staff to review and approve an application.	3-5 days	2 days	1 day	System workflow data	Monthly

16.3 Procurement Performance KPIs

The SRS will enable Chamith Holdings to track broader procurement performance metrics more effectively.

- **Supplier Database Quality:** Percentage of supplier profiles with complete, verified, and up-to-date information (Target: >95%).
- **Procurement Cycle Time:** Reduction in the overall time taken to source and procure goods/services, facilitated by a readily available pool of approved suppliers.
- **Cost Savings:** Tracking savings achieved through better negotiation leverage (enabled by performance data) and reduced administrative overhead.

- **Supplier Performance Score:** Average performance score of key suppliers based on defined KPIs (e.g., On-Time Delivery, Quality).

16.4 Compliance KPIs

Monitoring compliance is a primary objective of the SRS. These KPIs will track adherence to regulatory and internal requirements.

- **Statutory Document Validity Rate:** Percentage of active suppliers with valid, unexpired mandatory documents (e.g., BR, VAT, TIN) (Target: 100%).
- **Audit Finding Targets:** Zero major non-conformances related to supplier registration and compliance during internal or external audits.
- **Code of Conduct Acknowledgment:** Percentage of suppliers who have digitally signed the Chamith Holdings Supplier Code of Conduct (Target: 100%).
- **Risk Assessment Completion:** Percentage of high-risk suppliers who have undergone a comprehensive risk assessment (Target: 100%).

16.5 Reporting Schedule

A structured reporting schedule will ensure that stakeholders receive timely and relevant information on system and process performance.

Report Name	Audience	Frequency	Content Summary
Executive Dashboard Summary	Board of Directors, CEO	Monthly	High-level overview of onboarding times, compliance status, and key risks.
Procurement Operations Report	Head of Procurement	Weekly	Detailed metrics on application processing, bottlenecks, and team productivity.
Compliance & Risk Report	Legal/Compliance Lead	Monthly	Status of expiring documents, identified compliance gaps, and risk mitigation progress.
Supplier Performance Review	Procurement Team, Operations	Quarterly	Scorecards and performance trends for Tier 1 and Tier 2 suppliers.
System Health Report	IT Lead	Weekly	UAT metrics, system uptime, issue resolution times, and security alerts.

16.6 Benefits Realization Plan

To ensure the projected benefits of the SRS are actually achieved, a formal Benefits Realization Plan will be implemented.

- **Tracking Mechanism:** The Project Manager, in collaboration with the Procurement Lead, will be responsible for tracking actual performance against the defined KPIs and quantified benefits outlined in Section 13.4.
- **Review Schedule:** Benefits realization reviews will be conducted quarterly during the first year post-implementation, and bi-annually thereafter.
- **Reporting:** Findings will be reported to the Project Steering Committee.
- **Corrective Action:** If targets are not being met, the team will conduct a root cause analysis to identify the reasons (e.g., low user adoption, system issues, process bottlenecks) and implement corrective actions, such as additional training, process adjustments, or system enhancements.

SECTION 17: TEAM & RESOURCES

17.1 Project Team Structure

The successful implementation and ongoing operation of the Supplier Registration System (SRS) will rely on a well-structured and collaborative team. The project team will consist of both internal Chamith Holdings staff and external consultants/vendors, ensuring a blend of business knowledge and technical expertise.

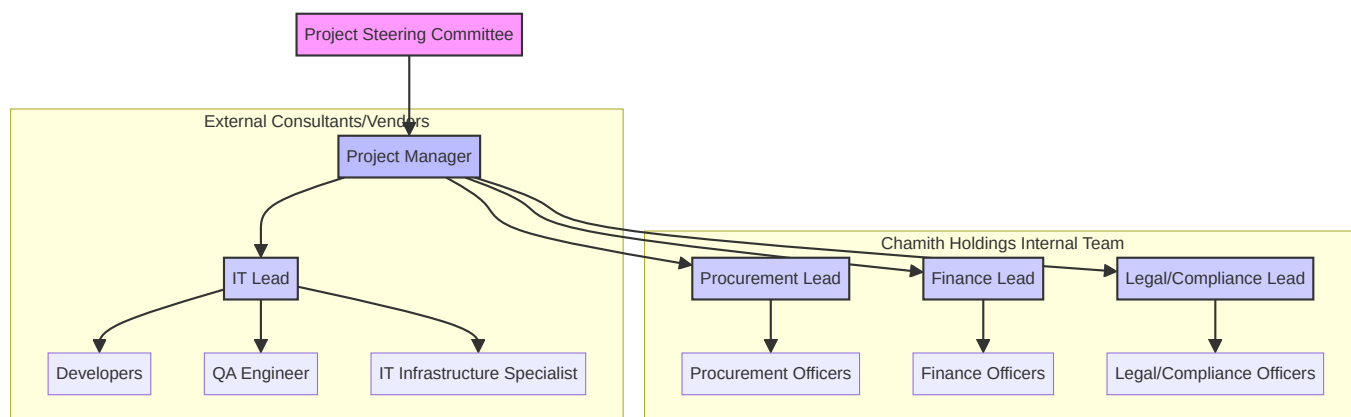


Figure 17.1.1: Proposed SRS Project Organizational Chart

17.2 Detailed Role Descriptions

- **Project Steering Committee (Internal - Senior Management):**
 - **Responsibilities:** Provide strategic direction, approve major project milestones and budget, resolve high-level issues, ensure alignment with company objectives.
 - **Time Commitment:** 5% (monthly meetings, ad-hoc decisions).
 - **Required Skills:** Strategic thinking, decision-making, leadership, understanding of company vision.
 - **Duration:** Throughout the project lifecycle.
- **Project Manager (External Consultant):**
 - **Responsibilities:** Overall project planning, execution, monitoring, and control; manage project scope, schedule, budget, and resources; risk management; stakeholder communication; vendor management.
 - **Time Commitment:** 100%.
 - **Required Skills:** PMP certification or equivalent, strong leadership, communication, negotiation, problem-solving, experience with IT projects.
 - **Duration:** Throughout the project lifecycle.
- **Procurement Lead (Internal - Head of Procurement):**
 - **Responsibilities:** Define business requirements for SRS, represent procurement interests, lead UAT, coordinate internal training, drive supplier adoption.
 - **Time Commitment:** 25%.
 - **Required Skills:** Deep understanding of procurement processes, vendor management, change management, communication.
 - **Duration:** Throughout the project lifecycle.

- **IT Lead (Internal - Head of IT):**
 - **Responsibilities:** Oversee technical architecture, infrastructure setup, integration with existing systems, ensure system security and performance, provide ongoing IT support.
 - **Time Commitment:** 20%.
 - **Required Skills:** IT project management, cloud infrastructure, network security, system integration, technical troubleshooting.
 - **Duration:** Throughout the project lifecycle.
- **Finance Lead (Internal - Head of Finance):**
 - **Responsibilities:** Define financial requirements (e.g., banking details verification, payment integration), ensure financial compliance, support cost-benefit analysis, UAT for financial aspects.
 - **Time Commitment:** 15%.
 - **Required Skills:** Financial management, accounting principles, understanding of payment systems, compliance.
 - **Duration:** Throughout the project lifecycle.
- **Legal/Compliance Lead (Internal - Legal Counsel/Compliance Officer):**
 - **Responsibilities:** Ensure SRS compliance with Sri Lankan laws (Companies Act, VAT, TIN), review legal terms for suppliers, advise on data privacy and regulatory risks.
 - **Time Commitment:** 10%.
 - **Required Skills:** Sri Lankan corporate law, tax law, regulatory compliance, risk assessment.
 - **Duration:** Throughout the project lifecycle.
- **Developers (External Vendor):**
 - **Responsibilities:** Design, code, test, and deploy SRS modules based on technical specifications.
 - **Time Commitment:** 100%.
 - **Required Skills:** Expertise in chosen technology stack (e.g., React, Node.js, PostgreSQL, Cloud platforms), software development best practices.
 - **Duration:** Development and Testing Phases.
- **QA Engineer (External Vendor):**
 - **Responsibilities:** Develop test plans, execute test cases, identify and report bugs, ensure system quality and functionality.
 - **Time Commitment:** 100%.
 - **Required Skills:** Software testing methodologies, attention to detail, bug tracking tools.
 - **Duration:** Testing Phase.

17.3 RACI Matrix

(Refer to Section 12.6 for the detailed RACI Matrix covering key project activities.)

17.4 Resource Plan Table

(Refer to Section 12.5 for the detailed Resource Plan Table outlining time commitment and duration for each role.)

17.5 External Vendor Management

If an external vendor is engaged for the development and implementation of the SRS, a structured vendor management approach will be critical.

- **Vendor Selection Process:** A rigorous RFP (Request for Proposal) process will be conducted to select a qualified vendor with proven experience in similar projects, preferably with knowledge of the Sri Lankan context.
- **Contract Management Approach:** A clear contract will be established, outlining scope of work, deliverables, timelines, payment schedules, service level agreements (SLAs), and intellectual property rights. Regular contract reviews will be conducted.
- **Performance Monitoring:** The Project Manager will continuously monitor the vendor's performance against agreed-upon milestones and KPIs. Regular progress meetings will be held to address any issues and ensure alignment.
- **Relationship Management:** Foster a collaborative partnership with the vendor, ensuring open communication and mutual understanding of project goals.

17.6 Skills and Capacity Assessment

- **Current Skills Available (Internal):** Chamith Holdings possesses strong internal expertise in logistics operations, financial management, and legal/compliance. The IT team has foundational knowledge of existing systems and infrastructure.
- **Skills Gaps Identified:** Specific gaps exist in modern cloud-native application development, advanced system integration, and specialized SRS implementation experience. While internal IT can support, external expertise is crucial for efficient and high-quality development.
- **How Gaps Will Be Addressed:** External consultants and vendors will be engaged to fill the identified technical and project management skill gaps. Internal staff will be involved in all phases to facilitate knowledge transfer and build in-house capability for ongoing support and future enhancements.
- **Training Requirements:** Targeted training will be provided to internal IT staff on the new technology stack and system architecture. Procurement and Finance teams will receive comprehensive training on using the SRS. Legal/Compliance will be trained on leveraging the system for regulatory monitoring. This ensures long-term sustainability and internal ownership of the system.

SECTION 18: CONCLUSION & RECOMMENDATIONS

18.1 Proposal Summary

This proposal has presented a comprehensive plan for the design, development, and implementation of a Supplier Registration System (SRS) for Chamith Holdings. The current manual processes for supplier management are inefficient, pose significant compliance risks, and hinder the company's ability to scale and operate strategically within the competitive Sri Lankan logistics sector. The proposed SRS offers a modern, cloud-based solution that will automate workflows, centralize data, enhance compliance, and provide robust tools for supplier performance management. This strategic investment is projected to yield substantial quantifiable and non-quantifiable benefits, including significant cost savings, improved operational efficiency, and strengthened supplier relationships.

18.2 Why Act Now

The current environment, characterized by evolving regulatory requirements in Sri Lanka and increasing demands for operational efficiency in the logistics industry, makes the implementation of an SRS not just beneficial, but imperative. The

cost of delay or **cost of inaction** is substantial, encompassing continued operational inefficiencies, escalating compliance risks, potential financial penalties, and a growing competitive disadvantage. Procrastination will only exacerbate these challenges, making future digital transformation efforts more complex and costly. Acting now will position Chamith Holdings as a forward-thinking, compliant, and efficient leader in the Sri Lankan logistics market.

Business Case Summary

- **Problem:** Manual, fragmented supplier management leading to inefficiencies, high compliance risk, and limited scalability.
- **Solution:** Custom-developed, cloud-based Supplier Registration System tailored for Chamith Holdings and the Sri Lankan context.
- **Benefits:** Estimated annual quantified benefits of LKR 3.2 million - LKR 6.8 million, alongside significant non-financial and strategic advantages.
- **Investment:** Estimated one-time investment of LKR 6.2 million - LKR 10.8 million, with a payback period of approximately 3.85 years.
- **ROI:** Projected 3-year ROI of 23.4% - 39.1%.

18.3 Formal Recommendations

Based on the detailed analysis and proposed solution, we formally recommend the following to the Board of Directors of Chamith Holdings:

1. **Approve the immediate initiation of the Supplier Registration System (SRS) project** as outlined in this proposal, recognizing its critical importance for operational efficiency and risk mitigation.
2. **Allocate the necessary budget of LKR 6,267,500 - LKR 10,822,500** for the one-time investment, ensuring adequate funding for a comprehensive and high-quality implementation.
3. **Establish a dedicated Project Steering Committee** to provide strategic oversight and support throughout the project lifecycle, ensuring alignment with Chamith Holdings' strategic objectives.
4. **Prioritize the engagement of a qualified external vendor** with proven expertise in custom software development and a strong understanding of the Sri Lankan regulatory environment to ensure successful technical execution.
5. **Champion the change management initiatives** to foster internal adoption and ensure smooth transition for both employees and suppliers, maximizing the return on this strategic investment.

18.4 Approval Request

We respectfully request the Board of Directors of Chamith Holdings to review and approve this comprehensive proposal for the Supplier Registration System. Your approval will enable Chamith Holdings to embark on a transformative journey towards a more efficient, compliant, and strategically agile procurement function, securing its competitive position and fostering sustainable growth.

18.5 Next Steps Table

Action	Timeline	Responsible Person
Board Approval of Proposal	Within 2 weeks	Board of Directors
Project Manager Appointment	Within 3 weeks	CEO
Vendor Selection (RFP Process)	Within 6 weeks	Procurement Lead
Project Kick-off & Detailed Planning	Within 8 weeks	Project Manager
Communication to Suppliers	Post Project Kick-off	Procurement Lead

18.6 Closing Statement

We are confident that the implementation of this Supplier Registration System will be a pivotal step in enhancing Chamith Holdings’ operational capabilities and strategic positioning. We look forward to your positive consideration and are available to provide any further clarifications or discussions required. Thank you for your time and attention to this critical initiative.

SECTION 19: APPENDICES

APPENDIX A: Sample Supplier Registration Form

This appendix provides a sample layout and key fields for the online Supplier Registration Form within the SRS. This form is designed to capture all necessary legal, financial, and operational information from potential suppliers in a structured and user-friendly manner.

=====

SUPPLIER REGISTRATION FORM - CHAMITH HOLDINGS

=====

SECTION 1: COMPANY INFORMATION

- 1.1 Legal Company Name: _____
- 1.2 Trading Name (if different): _____
- 1.3 Business Registration No.: _____
- 1.4 Date of Incorporation/Registration: _____
- 1.5 Company Type: ☐ Private Limited ☐ Public Limited ☐ Partnership ☐ Sole Proprietorship
- 1.6 Registered Address:** _____
- City: _____ District: _____ Postal Code: _____
- 1.7 Operational Address (if different): _____
- 1.8 Primary Contact Person:
- Name: _____ Designation: _____
- Email: _____ Phone: _____
- 1.9 Secondary Contact Person:
- Name: _____ Designation: _____
- Email: _____ Phone: _____
- 1.10 Nature of Business / Industry: _____
- 1.11 Main Products/Services Offered: _____

SECTION 2: STATUTORY & TAX INFORMATION (SRI LANKA)

- 2.1 Taxpayer Identification Number (TIN): _____
- 2.2 VAT Registration No. (if applicable): _____
- 2.3 EPF/ETF Registration No. (if applicable): _____
- 2.4 Customs Registration No. (for import/export related services): _____
- 2.5 BOI Company: ☐ Yes ☐ No

SECTION 3: BANKING INFORMATION

- 3.1 Bank Name: _____
- 3.2 Bank Branch: _____
- 3.3 Account Name: _____
- 3.4 Account Number: _____
- 3.5 SWIFT/BIC Code (for international payments): _____

SECTION 4: DOCUMENTS UPLOAD (Mandatory)

(Please upload clear scanned copies of the following documents)

- 4.1 Business Registration Certificate (or Certificate of Incorporation)
[Upload Field]
- 4.2 VAT Registration Certificate (if applicable)
[Upload Field]
- 4.3 TIN Registration Certificate
[Upload Field]
- 4.4 Company Profile / Brochure (Optional)
[Upload Field]
- 4.5 Industry-Specific Licenses/Permits (e.g., Transport License)
[Upload Field]
- 4.6 Audited Financial Statements (Last 2 years - Optional, for strategic suppliers)
[Upload Field]

SECTION 5: DECLARATION

I/We hereby declare that the information provided above is true and accurate to the best of my/our knowledge.

I/We agree to abide by Chamith Holdings' Supplier Code of Conduct and all applicable Sri Lankan laws and regulations.

Name of Authorized Signatory: _____

Designation: _____

Date: _____

[Digital Signature Placeholder]

FOR OFFICE USE ONLY

Application ID: _____

Date Received: _____

Reviewed By (Procurement): _____ Date: _____

Verified By (Finance): _____ Date: _____

Approved By (Management): _____ Date: _____

Supplier ID: _____

Status: ☐ Approved ☐ Rejected ☐ Pending

Comments: _____

=====

APPENDIX B: Document Submission Checklist

This checklist will guide suppliers on the mandatory and optional documents required for registration, categorized by supplier type. The SRS will dynamically present this checklist based on the supplier's initial inputs.

Document Type	Mandatory for All	Mandatory for Specific Types (Specify)	Optional	Submitted (Supplier)	Verified (CH)
Legal Documents					
Business Registration Certificate	✓			[]	[]
Articles of Association		✓ (Pvt/Public Ltd)		[]	[]
Form 1, 20 (Companies Act)		✓ (Pvt/Public Ltd)		[]	[]
VAT Registration Certificate		✓ (VAT Registered)		[]	[]
TIN Registration Certificate	✓			[]	[]
Financial Documents					
Bank Account Details	✓			[]	[]
Audited Financial Statements			✓	[]	[]
Tax Clearance Certificate			✓	[]	[]
Technical Documents					
Industry-Specific Licenses		✓ (e.g., Transport, Customs)		[]	[]
Quality Certifications (ISO)			✓	[]	[]
Insurance Certificates		✓ (e.g., Goods in Transit)		[]	[]
Policy Documents					
Supplier Code of Conduct (Ack.)	✓			[]	[]

APPENDIX C: Supplier Evaluation Scoring Sheet

This sample scoring sheet illustrates the criteria and methodology Chamith Holdings will use to evaluate supplier performance. The SRS will automate the aggregation of scores and generate overall ratings.

=====

SUPPLIER PERFORMANCE EVALUATION SCORING SHEET

=====

Supplier Name: _____
Supplier ID: _____ Evaluation Period: _____
Evaluated By: _____ Date: _____

SCORING KEY:

- 5 = Excellent (Consistently exceeds expectations)
4 = Good (Consistently meets expectations)
3 = Satisfactory (Generally meets expectations, minor improvements needed)
2 = Needs Improvement (Often falls below expectations, significant improvements needed)
1 = Poor (Consistently fails to meet expectations, unacceptable performance)

SECTION 1: QUALITY (Weight: 30%)

Criteria	Score (1-5)	Comments
:-----	:-----	:-----
1.1 Accuracy/Completeness of Service/Goods		
1.2 Adherence to Specifications		
1.3 Defect/Error Rate		
1.4 Responsiveness to Quality Issues		
Sub-Total Score (Quality)		

SECTION 2: DELIVERY/TIMELINESS (Weight: 30%)

Criteria	Score (1-5)	Comments
:-----	:-----	:-----
2.1 On-Time Delivery (OTD) Rate		
2.2 Adherence to Agreed Schedules		
2.3 Responsiveness to Delivery Changes		
2.4 Lead Time Performance		
Sub-Total Score (Delivery)		

SECTION 3: COST/COMMERCIAL (Weight: 20%)

Criteria	Score (1-5)	Comments
:-----	:-----	:-----
3.1 Price Competitiveness		
3.2 Invoice Accuracy		
3.3 Adherence to Payment Terms		
3.4 Value for Money		
Sub-Total Score (Cost)		

SECTION 4: COMPLIANCE & RELATIONSHIP (Weight: 20%)

Criteria	Score (1-5)	Comments
----------	-------------	----------

:-----	:-----	:-----
4.1 Adherence to Contract Terms		
4.2 Regulatory Compliance (BR, VAT, TIN)		
4.3 Communication & Collaboration		
4.4 Problem Resolution Effectiveness		
Sub-Total Score (Compliance/Relationship)		

OVERALL RATING

Weighted Average Score: _____ (Calculated by SRS)

Overall Rating: ☐ Excellent ☐ Good ☐ Satisfactory ☐ Needs Improvement ☐ Poor

Recommendation:

- ☐ Continue Partnership
☐ Develop/Improve Partnership
☐ Review Partnership / Corrective Action Required
☐ Discontinue Partnership

Detailed Comments/Action Plan:

Evaluator Signature: _____ Date: _____

Supplier Acknowledgment: _____ Date: _____

=====

APPENDIX D: Supplier Code of Conduct

Chamith Holdings is committed to conducting business ethically and responsibly. This Supplier Code of Conduct outlines the minimum standards of behavior and business practices expected from all suppliers. Adherence to this Code is a mandatory requirement for all registered suppliers.

=====

CHAMITH HOLDINGS - SUPPLIER CODE OF CONDUCT

=====

Chamith Holdings is dedicated to upholding the highest standards of ethical conduct, social responsibility, and environmental stewardship. This Supplier Code of Conduct outlines the principles and standards that all suppliers must adhere to when doing business with Chamith Holdings.

1. ****Compliance with Laws and Regulations:****

Suppliers must comply with all applicable national and local laws, regulations, and industry standards.

2. ****Labor and Human Rights:****

- * ****Forced Labor:**** Suppliers shall not use any form of forced, bonded, indentured, or involuntary labor.
- * ****Child Labor:**** Suppliers shall not employ individuals below the legal minimum age for employment in their respective countries.
- * ****Wages and Benefits:**** Suppliers must pay employees at least the minimum wage required by local laws and provide fair benefits.
- * ****Working Hours:**** Working hours must not exceed the maximum limits set by local laws. Overtime work must be compensated accordingly.
- * ****Non-Discrimination:**** Suppliers must provide a workplace free from discrimination and harassment based on race, gender, religion, or other protected characteristics.
- * ****Freedom of Association:**** Suppliers must respect the rights of employees to form and join labor unions.

3. ****Health and Safety:****

Suppliers must provide a safe and healthy working environment for all employees, complying with all applicable safety regulations.

4. ****Environmental Protection:****

Suppliers must operate in an environmentally responsible manner, minimizing their environmental footprint and complying with all applicable environmental laws.

5. ****Business Ethics and Integrity:****

- * ****Anti-Corruption:**** Suppliers must not engage in any form of bribery, corruption, or extortion.
- * ****Fair Competition:**** Suppliers must conduct their business in accordance with fair competition laws.
- * ****Confidentiality:**** Suppliers must protect Chamith Holdings' confidential information and trade secrets.
- * ****Conflicts of Interest:**** Suppliers must disclose any actual or potential conflicts of interest.

6. ****Supply Chain Management:****

Suppliers are encouraged to implement similar standards within their own supply chains and to ensure compliance throughout the supply chain.

****Consequences of Violation:****

Any violation of this Supplier Code of Conduct may result in corrective action, including but not limited to suspension of business or termination of the supply agreement.

****Acknowledgment and Signature:****

I/We, the undersigned, acknowledge that I/we have read, understood, and agree to comply with the terms and conditions of this Supplier Code of Conduct.

Company Name: _____

Authorized Signatory Name: _____

Designation: _____

Date: _____

[Digital Signature Placeholder]

=====

APPENDIX E: Supplier Registration Certificate Template

This template illustrates the format of the official Supplier Registration Certificate that Chamith Holdings will issue to approved suppliers. This certificate serves as formal recognition of their registered status.

=====

CHAMITH HOLDINGS - OFFICIAL SUPPLIER REGISTRATION CERTIFICATE

=====

[Chamith Holdings Logo]

****CERTIFICATE OF REGISTRATION****

This is to certify that

****[SUPPLIER LEGAL COMPANY NAME]****

(Business Registration No.: [SUPPLIER BRN])

has been officially registered as an approved supplier with

****CHAMITH HOLDINGS (PVT) LTD****

****Supplier ID:**** [UNIQUE SUPPLIER ID]

****Registered Categories:****

- * [Category 1]
- * [Category 2]
- * [Category 3]

****Valid From:**** [DATE OF APPROVAL]

****Valid To:**** [DATE OF EXPIRY/RENEWAL]

This registration signifies that [SUPPLIER LEGAL COMPANY NAME] has met Chamith Holdings' stringer

Issued On: [CURRENT DATE]

[Authorized Signatory Name]
Head of Procurement
Chamith Holdings (Pvt) Ltd

[Company Seal/Stamp Placeholder]

=====

APPENDIX F: Glossary of Terms

This glossary provides definitions for key technical and procurement terms used throughout this proposal, including Sri Lanka-specific terminology and abbreviations.

- **API (Application Programming Interface):** A set of rules and protocols for building and interacting with software applications.
- **BR (Business Registration):** The official registration of a business entity with the Department of Registrar of Companies in Sri Lanka.
- **CAP (Corrective Action Plan):** A plan developed to address identified performance deficiencies or non-conformances.

- **Cloud-based System:** Software and data hosted on remote servers and accessed over the internet, rather than being installed locally.
- **DRC (Department of Registrar of Companies):** The government body in Sri Lanka responsible for company registrations and compliance.
- **ERP (Enterprise Resource Planning):** Integrated management of main business processes, often in real-time and mediated by software and technology.
- **ESG (Environmental, Social, and Governance):** A framework used to evaluate an organization's performance on sustainability and ethical practices.
- **FTE (Full-Time Equivalent):** A unit that indicates the workload of an employed person in a way that makes workloads comparable across various contexts.
- **IRD (Inland Revenue Department):** The primary tax administration authority in Sri Lanka.
- **KPI (Key Performance Indicator):** A measurable value that demonstrates how effectively a company is achieving key business objectives.
- **LKR (Sri Lankan Rupees):** The official currency of Sri Lanka.
- **MFA (Multi-Factor Authentication):** An electronic authentication method in which a user is granted access only after successfully presenting two or more pieces of evidence to an authentication mechanism.
- **OTD (On-Time Delivery):** A key performance indicator measuring the percentage of deliveries that arrive by the scheduled delivery date.
- **RACI Matrix:** A responsibility assignment matrix that maps out every task, milestone, or decision involved in a project and assigns which roles are Responsible, Accountable, Consulted, and Informed.
- **RBAC (Role-Based Access Control):** A method of restricting network access based on the roles of individual users within an enterprise.
- **ROI (Return on Investment):** A performance measure used to evaluate the efficiency or profitability of an investment.
- **SaaS (Software as a Service):** A software distribution model in which a third-party provider hosts applications and makes them available to customers over the Internet.
- **SLA (Service Level Agreement):** A commitment between a service provider and a client.
- **SME (Small and Medium-sized Enterprises):** Businesses whose personnel numbers fall below certain limits.
- **SOP (Standard Operating Procedure):** A set of step-by-step instructions compiled by an organization to help workers carry out routine operations.
- **SRS (Supplier Registration System):** The proposed system for managing supplier registration and information.
- **SVAT (Simplified Value Added Tax):** A former VAT scheme in Sri Lanka, being phased out by October 1, 2025.
- **TIN (Taxpayer Identification Number):** A unique identification number issued by the IRD to taxpayers in Sri Lanka.
- **UAT (User Acceptance Testing):** The final phase of software testing where actual users test the software to make sure it can handle required tasks in real-world scenarios.
- **UI (User Interface):** The means by which the user and a computer system interact.
- **UX (User Experience):** The overall experience of a person using a product such as a website or computer application.
- **VAT (Value Added Tax):** A consumption tax placed on a product whenever value is added at each stage of the supply chain, from production to the point of sale.

APPENDIX G: Reference Laws and Regulations

This appendix lists key Sri Lankan laws and regulations relevant to supplier registration, procurement, and business operations, which the SRS will help Chamith Holdings comply with.

- **Companies Act No. 7 of 2007 (as amended):** Governs the incorporation, registration, and operation of companies in Sri Lanka. Relevant sections include those pertaining to company registration, annual returns, and beneficial ownership disclosure [6] [7] [8].
- **Value Added Tax Act No. 14 of 2002 (as amended):** Defines the framework for VAT in Sri Lanka, including registration thresholds, tax rates, and compliance requirements. The SRS will address the transition from SVAT to the standard VAT regime [1] [2] [3].
- **Inland Revenue Act No. 24 of 2017 (as amended):** The primary legislation for income tax and other direct taxes in Sri Lanka. Includes provisions for Taxpayer Identification Numbers (TIN) and their mandatory registration [10] [11].
- **Employees' Provident Fund Act No. 15 of 1958 (as amended):** Mandates contributions to the Employees' Provident Fund (EPF) for eligible employees. Suppliers must comply with this for their workforce.
- **Employees' Trust Fund Act No. 46 of 1980 (as amended):** Mandates contributions to the Employees' Trust Fund (ETF) for eligible employees. Suppliers must comply with this for their workforce.
- **Contract Law (General Principles):** Governed by the Roman-Dutch law principles applicable in Sri Lanka, ensuring legal enforceability of supplier agreements.
- **Consumer Affairs Authority Act No. 9 of 2003 (as amended):** Relevant for ensuring fair trade practices and consumer protection, indirectly impacting supplier conduct.
- **National Procurement Guidelines (Various Editions):** While primarily for public procurement, these guidelines often influence best practices in the private sector for transparency and fairness [12] [15] [22].

APPENDIX H: Sample Email Templates

This appendix provides sample email templates for automated communications from the SRS to suppliers, ensuring consistent and professional messaging.

1. **Welcome Email to New Registrant:** Subject: Welcome to Chamith Holdings Supplier Portal - Your Registration is Complete! Dear [Supplier Contact Name], We are pleased to inform you that your registration as an approved supplier with Chamith Holdings has been successfully completed. Your unique Supplier ID is [Supplier ID]. You can now access your supplier portal at [Portal Link] using your registered credentials. Here, you can manage your profile, view your status, and communicate with our procurement team. We look forward to a successful partnership. Sincerely, The Procurement Team Chamith Holdings
2. **Application Received Confirmation:** Subject: Your Supplier Registration Application with Chamith Holdings Has Been Received Dear [Supplier Contact Name], Thank you for submitting your supplier registration application to Chamith Holdings. Your application ID is [Application ID]. We are currently reviewing your submission and documents. You can track the status of your application at any time by logging into your portal at [Portal Link]. We will notify you once there is an update. Sincerely, The Procurement Team Chamith Holdings
3. **Additional Documents Required:** Subject: Action Required: Additional Documents for Chamith Holdings Supplier Registration Dear [Supplier Contact Name], Thank you for your supplier registration application (Application ID: [Application ID]). During our review, we noted that the following additional documents or clarifications are required to proceed with your application:
 - [List of missing/required documents/clarifications] Please log in to your supplier portal at [Portal Link] to upload the requested documents or provide the necessary information. Your application cannot proceed until these items are received. Sincerely, The Procurement Team Chamith Holdings
4. **Approval Notification:** Subject: Congratulations! Your Supplier Registration with Chamith Holdings is Approved! Dear [Supplier Contact Name], We are delighted to inform you that your supplier registration application (Application ID: [Application ID]) has been approved! Your official Supplier ID is [Supplier ID]. You are now an approved supplier for Chamith Holdings. We welcome you to our network and look forward to collaborating with you. Please log in to your

supplier portal at [Portal Link] to access your full profile and explore opportunities. Sincerely, The Procurement Team
Chamith Holdings

5. **Rejection Notification with Reasons:** Subject: Update Regarding Your Chamith Holdings Supplier Registration Application Dear [Supplier Contact Name], Thank you for your interest in becoming a supplier for Chamith Holdings. We regret to inform you that your supplier registration application (Application ID: [Application ID]) has been unsuccessful at this time. The primary reason(s) for this decision include:
- [Specific Reason 1]
 - [Specific Reason 2] We appreciate your understanding. You may reapply in the future if the identified issues are addressed. For further details, please refer to our supplier guidelines on the portal. Sincerely, The Procurement Team Chamith Holdings
6. **Annual Renewal Reminder:** Subject: Action Required: Annual Supplier Profile Renewal for Chamith Holdings Dear [Supplier Contact Name], This is a friendly reminder that your annual supplier profile renewal for Chamith Holdings is due by [Renewal Date]. To ensure your information remains current and compliant, please log in to your supplier portal at [Portal Link] to review and update your company details and re-upload any expiring documents. Failure to complete the renewal by the due date may result in your supplier status being flagged as inactive. Sincerely, The Procurement Team Chamith Holdings
7. **Document Expiry Reminder:** Subject: Important: Your [Document Name] is Expiring Soon! Dear [Supplier Contact Name], This is an important notification regarding your [Document Name](#) which is currently on file with Chamith Holdings. This document is due to expire on [Expiry Date]. To maintain your active supplier status and ensure continuous compliance, please upload an updated copy of this document to your supplier portal at [Portal Link] as soon as possible. Sincerely, The Procurement Team Chamith Holdings

APPENDIX I: IT Vendor RFP Summary

This appendix provides a summary of key requirements and evaluation criteria for a Request for Proposal (RFP) to select an IT vendor for the development and implementation of the SRS.

Key Requirements for IT Vendor:

- **Proven Experience:** Demonstrated track record in developing and implementing similar web-based business applications, preferably in the logistics or procurement domain.
- **Technical Expertise:** Proficiency in the proposed technology stack (React.js, Node.js/Python, PostgreSQL, Cloud Platforms like AWS/GCP).
- **Project Management Capability:** Strong project management methodologies (e.g., Agile/Scrum) and experience in managing projects of similar scale.
- **Local Market Knowledge:** Understanding of the Sri Lankan business context, regulatory environment, and local IT landscape.
- **Support & Maintenance:** Ability to provide ongoing technical support, maintenance, and future enhancements post-implementation.
- **Security & Data Privacy:** Demonstrated commitment to robust security practices and data protection.

Evaluation Criteria for Vendor Selection:

Criteria	Weightage (%)	Description
Technical Proposal & Solution Design	30	Clarity, completeness, and suitability of proposed solution.
Experience & Track Record	20	Relevant project experience, client testimonials, team expertise.
Project Methodology & Plan	15	Project management approach, timeline, resource allocation.
Cost & Value for Money	20	Competitiveness of pricing, detailed cost breakdown.
Support & Maintenance Offering	10	Post-implementation support, SLAs, maintenance plan.
Local Presence & Understanding	5	Knowledge of Sri Lankan market, regulatory environment.
Total	100	

Key Contract Requirements:

- **Fixed Price or Time & Materials:** Clearly defined pricing model.
- **Service Level Agreements (SLAs):** For system uptime, response times, and bug resolution.
- **Intellectual Property Rights:** Clear ownership of the developed software and code.
- **Data Confidentiality & Security:** Clauses protecting Chamith Holdings’ data.
- **Warranty & Support Period:** Post-implementation warranty and support terms.
- **Change Request Process:** Formal process for managing scope changes.
- **Penalty Clauses:** For delays or non-performance.

SIGNATURE PAGE

Role	Name (Print)	Signature	Date
Prepared By (Consultant)	Manus AI		
Reviewed By (Management)			
Approved By (CEO)			
Board Noted			

Company Stamp Placeholder

REFERENCES

[1] Inland Revenue Department Sri Lanka. “Simplified Value Added Tax (SVAT) Scheme.” Accessed August 1, 2026.
[https://www.ird.gov.lk/en/type%20of%20taxes/sitepages/simplified%20value%20added%20tax%20\(sv%20vat\)%20scheme.aspx?](https://www.ird.gov.lk/en/type%20of%20taxes/sitepages/simplified%20value%20added%20tax%20(sv%20vat)%20scheme.aspx?)

menuid=1205 [2] KPMG. "Sri Lanka: Notices in relation to simplified VAT scheme published." October 1, 2025. <https://kpmg.com/us/en/taxnewsflash/news/2025/10/tnf-sri-lanka-notices-in-relation-to-simplified-vat-scheme-published.html>

[3] Vital Law. "Sri Lanka's Simplified VAT Regime Ending October 1." September 17, 2025. <https://www.vitalaw.com/news/sri-lanka-s-simplified-vat-regime-ending-october-1/gdn01171340>

[4] Simplebooks. "A guide to Simplified Value Added Tax (SVAT) - Sri Lanka." August 25, 2024. <https://simplebooks.com/srilanka/svat-sri-lanka>

[5] LinkedIn. "End of SVAT in Sri Lanka – What Businesses Need to Know." Ramesh Nawarathna. Accessed August 1, 2026. <https://www.linkedin.com/pulse/end-svat-sri-lanka-what-businesses-need-know-ramesh-nawarathna-b71dc>

[6] Lanka Law. "Companies Act." Accessed August 1, 2026. <https://lankalaw.net/wp-content/uploads/2025/02/2007Y0V0C7A.html?srltid=AfmBOoquwSk7Y6I48HUDnHHalx9hb2xsAua6bHx1qsAk9m53WtcztUq>

[7] Department of Registrar of Companies. "The Companies ACT." Accessed August 1, 2026. https://drc.gov.lk/en/?page_id=1933

[8] Legal Business Online. "EXPLAINER: Can Sri Lanka's Companies Act amendments finally bring corporate transparency." April 13, 2026. <http://www.legalbusinessonline.com/features/explainer-can-sri-lankas-companies-act-amendments-finally-bring-corporate-transparency>

[9] Law Lanka. "COMPANIES ACT." Accessed August 1, 2026. https://www.lawlanka.com/lal_v2/actShortTitleView.jsessionid=38EB3E30D18E99C76DBBA0D2023D2EA4?selectedAct=2007Y0V0C7A

[10] Inland Revenue Department Sri Lanka. "TAXPAYER GUIDELINES FOR REGISTRATION AND..." Accessed August 1, 2026. https://www.ird.gov.lk/en/Shared%20Documents/TPR_Guidelines_1.2_E.pdf

[11] Simplebooks. "TIN Registration in Sri Lanka: Complete 2026 Guide." March 15, 2026. <https://simplebooks.com/srilanka/tin-registration-in-sri-lanka-latest-update>

[12] National Procurement Commission. "Guidelines." Accessed August 1, 2026. <https://nprocom.gov.lk/guidelines/>

[13] SWITCH-Asia. "GREEN PUBLIC PROCUREMENT IN SRI LANKA." Accessed August 1, 2026. https://www.switch-asia.eu/site/assets/files/4233/gpp_assessment_sri_lanka.pdf

[14] LinkedIn. "Navigating Global Turbulence: A Sri Lankan Procurement." Rasantha Madawala. Accessed August 1, 2026. <https://www.linkedin.com/pulse/navigating-global-turbulence-sri-lankan-procurement-rasantha-madawala-kojff>

[15] Global Public Procurement Database. "Sri Lanka." Accessed August 1, 2026. https://www.globalpublicprocurementdata.org/gppd/country_profile/LK

[16] The Open University of Sri Lanka. "MSc in Public Procurement and Supply Chain Management." Accessed August 1, 2026. <https://ou.ac.lk/programme/msc-in-public-procurement-and-supply-chain-management/>

[17] Ivalua. "Supply Chain Management 2026: Strategies for Success." April 7, 2026. <https://www.ivalua.com/blog/supply-chain-management-strategies-best-practices-for-2025/>

[18] JPMorgan. "Supply Chain Management Best Practices for Business." May 19, 2025. <https://www.jpmorgan.com/insights/business-planning/supply-chain-management-best-practices-for-business>

[19] Airista Flow. "Best Practices for Supply Chain & Logistics Management." October 8, 2024. <https://www.airistaflow.com/blog/best-practices-for-supply-chain-logistics-management/>

[20] Taulia. "10 Supplier Management Best Practices and Strategies." November 29, 2022. <https://taulia.com/resources/blog/supplier-management-best-practices-and-strategies/>

[21] World Bank. "Sri Lanka Ports and Logistics Development Program - Procurement Plan." Accessed August 1, 2026. <https://documents.worldbank.org/en/publication/documents-reports/documentdetail/099060826064522136>

[22] Treasury of Sri Lanka. "PROCUREMENT GUIDELINES." January 27, 2006. <https://www.treasury.gov.lk/api/file/f91cd0e0-6dab-44d4-b9b7-2c5652ed3390>

[23] Global Tenders. "Latest Sri Lanka Transportation Tenders." Accessed August 1, 2026. <https://www.globaltenders.com/sri-lanka/lk-transportation-tenders>